

DISCOVER ALL THE SECRETS OF ATTAINING
ABSOLUTE PRECISION IN THE MARKETS

2-PHASE INDUCEMENT TRAP THEOREM

www.tradesmint.com

*The Full Strategy to Achieve Intra-day Mastery
(Intermediate - Advanced Level)*

VECTORFX

2-Phase Inducement Trading

Table of Contents

Pages 1-9: Pre-Trading Sessions & Planning

Perfectly pre-plan your trading day with Key Details, Session Time & Price, Asia Manipulation, and a 10-step daily markup process.

Pages 10-21: The Daily Cycle

Get a clear understanding of when to trade, and the intent of the market maker through piecing together intra-day expectations with the Daily Cycle and its components.

Pages 22-25: Identify Valid Orderblocks Through Order-Flow

Identify all the high probability orderblocks within the market, and figure out exactly how to use and validate them through the high-volume injection technique.

Pages 26-37: The 2-Phase Inducement Theorem

Scope into the never-been-taught 2-Phase inducement theory; learn how to identify these inducements consistently, each of their low time-frame entry setups, and the Power of 3.

www.tradesmint.com

Pages 38-42: Step-by-Step Entry Processes

Follow the exact methods to trade reversals and continuations like the algorithm does. Simplify and execute based on the idea that trading only exists in 3 cycles – reversals, continuations, and liquidity build-ups.

Pages 43-49: Key Trading Movements & Concepts

Identify certain fractal movements in the market, and understand exactly what they mean, their intention, and how to utilise them to your advantage.

Pages 50-53: Pro-Trend/Counter-Trend Entry Setups

See clear price action setups based on pro-trend and counter-trend movement in the market through clear diagrams and step-by-step entry processes.

Page 54: Conclusion

Access Vector's resources to further expand your knowledge to apply to the markets.

NOTE: This eBook is designed for intermediate-advanced+ traders, so we recommend you understand the basics of market structure, supply & demand, liquidity, and imbalance. This overall strategy does not require any indicators (unless they are session/time or divergence based).

Pre-Trading Sessions & Planning:

Key Details + Concepts

(Psychological, Technical & Concepts):

Psychological:

- Don't trade if your emotions aren't aligning with what is on the screen.
- If you're not super happy about entering, and you don't fully accept the loss, don't take the trade.
- Don't 'force' something to work because it won't.
- Trade as if you are looking for buys and sells in your markup. This removes mental bias, and effectively emotion in trading.

Technical:

- Cause is the most important factor in trading – find what *caused* the injection of volume ('follow the money'). Did it get effectively mitigated? Did it leave imbalance? ... Find that block of orders and don't get liquidated
- The more inducement respected, the more liquidity to take out, the bigger the move
- Zones to trade from must have resting orders to mitigate. Make sure they have inducement above/below (or create it), and they are the cause of structural breaks, demand/supply fails etc
- Start analysing on the daily first! Find the intention of price and follow it
- Mark out S/R – (support becomes resistance levels vice versa) as that level will be liquidated to usually meet our orderblock above/below it
- Previous daily/weekly highs/lows can act as strong structural inducement points
- Price needs reason to move to certain levels – imbalance
- Often when we have a low Phase 2 inducement, we will sweep it's orderblock as a SMT because of the zone's large imbalance = lack of inducement
- If you don't spot the buyers/sellers who got swept before entering, you'll become liquidated
- Mark out pullback zones too
- If we break our LPOD/S, we are effectively going to run through all mitigated price until the next valid orderblock
- Ensure you wait for your respective time-frame reaction (e.g., don't look for a 1m reversal from a 4h zone)
- If price taps the outside of a zone but doesn't enter it, it can still be used as inducement
- We don't recommend stacking countertrend trades
- A mitigation can be confirmed when price sweeps into its previous range over another small-range inducement.

Concepts/Discoveries:

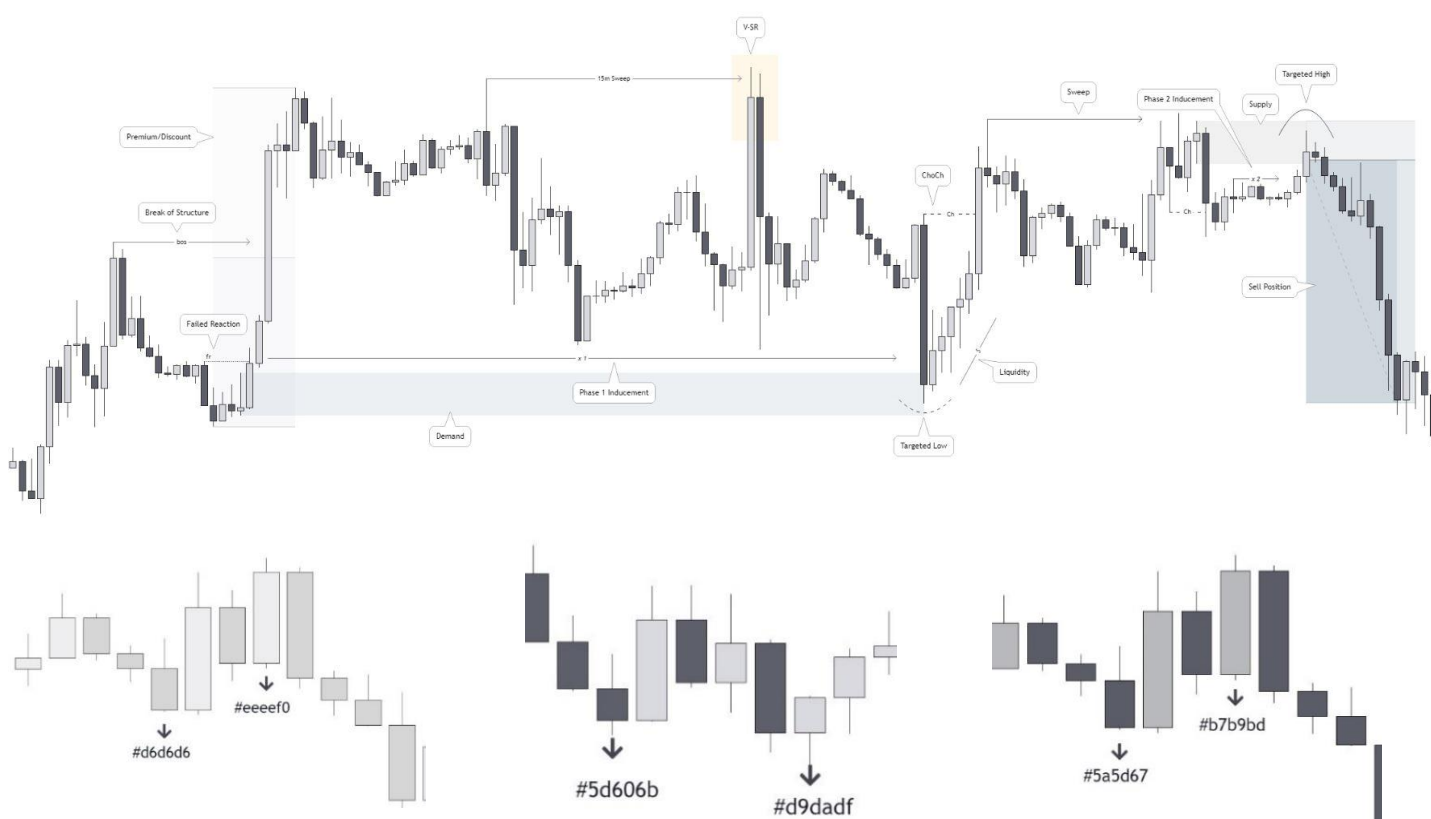
- The demand/supply that took out the Phase 1 inducement then gets broken confirms a shift in market structure. If it is respected, we can trade a continuation.
- A 'slight mitigation' is when price sweeps liquidity into a range, but doesn't properly mitigate the orderblock where the high-volume orders lie. Even though we may react from there, we can come back to this orderblock and properly mitigate it, using the 'slight mitigation' level as a point of inducement.
- It is important for the AR (automatic rally) to 'fail' in a reversal range after the B/SC (Buyers/sellers climax) as it often grabs the LPOD/S (the last point of demand & supply), so it is successfully mitigated
- News candles can be targeted high/lows as they don't have inducement
- Price works with momentum. You will never see something shoot up or down randomly
- Refine zones by excluding the inducement it swept before it – draw a line through the orderblock from the inducement it swept. This will refine your orderblock to the pure manipulation **has exceptions**
- If an inducement phase isn't very clean or only sweeps a small range, there will be another opportunity as more manipulation is needed to fuel a larger move
- Weak highs and lows are determined after a leg has been properly mitigated; the 5-15m TF is best to determine an active zone
- A high/low is likely to be targeted when it wicks the other side's high/low (to sweep) instead of having a candle closing over (BoS)

- The first part of a ChoCh is often formed from Phase 1 inducement getting swept, creating a slight pullback, then breaking it again to hit the refinement

Used Word Definitions:

- LPOD/S – Last point of demand/supply
- ChoCh – Change of character (a sweep of liquidity then a break of structure)
- BoS – Break of structure (a failure of supply or demand creating a price leg break)
- OB – Orderblock (a valid zone to trade from)
- FVG – Fair value gap (a form of inefficiency/price gaps in the market)
- IMB – Imbalance (a form of inefficiency/price gaps in the market)
- IPA – Inefficient price action (imbalance)
- S&D – Supply and demand (the levels of buying and selling)
- IFC – Institutionally funded candle (a candle created by institutions to push price to a certain area)
- IPB – Inducement Pullback (The level where price pullbacks before a continuation)
- PA – Price action (how price is moving)
- B2S – Buy to sell (often seen as a wick to mitigate or sweep)
- S2B – Sell to buy (often seen as a wick to mitigate or sweep)
- AOI – Area of interest (an area of price that is reactive or tradable)
- POI – Point of interest (a specific point where price is reactive or tradable)
- IND – Inducement (placement of liquidity that is used to manipulate traders)
- EQH/L's – Equal highs/lows
- SMT – Smart money trap (a zone that doesn't have liquidity under/above it, and gets run, trapping SMC traders)
- MSS - Market Structure Shift (a confirmed shift in the markets direction towards the next reversal zone)
- Vectors – Large-bodied, impulsive candles that are to push price to its purposeful target
- V-SR – V-Shaped Recovery (quick movement of price to enter and exit a zone)
- TF – Time frame
- FR – Failed Reaction (Internal supply/demand failure)
- OF – Order-flow (the movement of money through the market)
- True Zone – The actual orderblock that will be used which holds the high volume or orders
- PDH/PWH or PDL/PWL – Previous daily/weekly high/low

Colour Codes:



Time and Price (Times in AEST):

ASIA > FRANKFURT > LONDON > NEW YORK

Asia: – Asia is important to analyse as it can create the model for New York and London – its purpose is to create liquidity above and below its session. Mark the bottom and top to create a range, as well as the midline. Often, price will aim to take a high/low or both (AWS) starting with Frankfurt + London Open. If Asia takes a form of liquidity and is impulsive, a continuation trade can be played.

Frankfurt: - Frankfurt often prepares London for its main movement of the day. It often does this by taking out the high or low of Asia to create an orderblock mitigation for London, creates more Phase 1 inducement for London to take out, or helps to move price to an already-made valid orderblock.

London: - When London opens, there is a volatility spike in price. London's purpose is to attack the liquidity created during Asia. Often, London creates a continuation mitigation after 1.5 hours, but can also contribute to a larger liquidity build-up for New York. Entries that induce + mitigate can be taken at the open (sometimes +30). After 2 hours of opening, we often see a shift in direction.

Pre-NY: - Before New York opens, we often see an impulsive move that directly contributes to the New York session. Sometimes, we can create a valid zone for New York to play from by mitigating high-volume orders. Most often, we see an impulse in price to move into a higher timeframe orderblock to then become targeted liquidity, or we create more low timeframe reversal inducement to then be swept.

New York: – We open with a volatile shift of momentum. New York's purpose is to attack the liquidity created during the London session, or to create a continuation from London. The New York trap usually starts 1 hour after opening and reverses. After 1.5 hours of opening (MMM), we often see a clean mitigation of the 'correct' orderblock and liquidate the opening move. Sometimes, New York Open can mitigate the high-volume orders and continue in the correct direction of the day.

- **London Close** – mitigates the peak of NY open / Reversal for a continuation in NY open direction. Sometimes there is a mitigation-inducement before London Close.
- **Magic Minute Mitigations (MMM)** - refer to high probability trading times that mitigate active continuation orderblocks. We can best see these 1.5 hours after London and New York Opens – rarely, we can see these 3.5 hours after these opens instead.

	Timings (AEST)	Day light savings
Asian	10am-17:00 (5pm)	9am-16:00 (4pm)
Frankfurt Opening	17:00-18:00 (5pm-6pm)	16:00-17:00 (4pm-5pm)
London Opening	18:00-19:00 (6pm-7pm)	17:00-18:00 (5pm-6pm)
NY Open/ Reversal	23:00 (11pm)	22:00 (10pm)
NY Trap Timing	00:00 (12pm)	23:00 (11pm)
London Close	03:00am	02:00am
Magic Minute Mitigations (can mitigate +/-30)	LDN: 30m after open or 1.5Hrs after open NY: 30m after open or 1.5Hrs after open	LDN: 30m after open or 1.5Hrs after open NY: 30m after open or 1.5Hrs after open

Minor Inducement: M1/M5 break of a structural point that does nothing to the left (Asia is always minor)

Medium Inducement: M5/M15 break of a structural point that does something to the left

Major Inducement: M15/H1 break of a structural point

8-Step Daily Markup Process

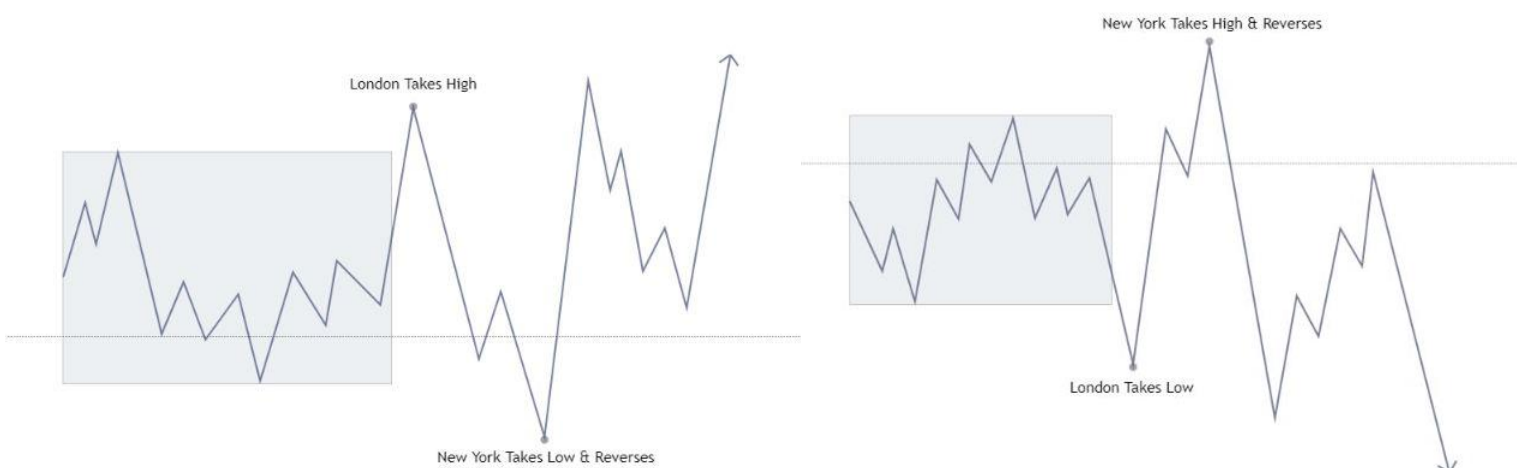
(Build up -> Inducement -> Manipulation -> Mitigation):

1. Utilise the daily (or 4h) timeframe to establish directional bias to understand where price is being targeted to and the overall influence on 'today's' PA.
 2. Now, we want to find the unmitigated high-volume zones that current PA will encounter (levels where price can react from after manipulation). If mitigated, we want to connect the high-volume order-flow to the last open & active zone. These open orderblocks should follow the 3-rules system and be found on the 5m+ timeframe (can use 1m to refine).
 3. Draw out all levels of undetermined inducement above/below our intra-day zones (5m-1h - can refine to the 1m imbalance) and label the main ones for the day. We will either have an IPB (Inducement Pullback) from valid but weak zones, or a Phase 1 (to then play the Phase 2 reversal) from these levels. Note, we can play the 2-Phase Theory in a smaller timeframe for IPB entries.
 4. Utilise the incoming direction method (Daily Cycle) - this will enable us to utilise prices' current momentum in our favour and shift our respect for buys and sells.
 5. Use premium/discount for the 50% leg equilibrium, mark out targeted/retail liquidity, protected and targeted highs/low, price targets (Phase 1 reversal points), utilise the Asia Manipulation setups for zone validation, and always follow time & price. Apply other key movements/concepts that are relevant to the PA.
 6. If the leg that created the sweep of the inducement level is broken, we can confirm a Phase 1 reversal and play our Phase 2 from the manipulation as we have a Market Structure Shift to run to our opposing Phase 1 (mitigation-inducement) target.
- If the leg that created the sweep of the inducement level is respected and creates the 3 valid orderblock rules, we can play a continuation trade from it to run to our opposing Phase 1 (mitigation-inducement) target - these entry processes go all the way down until we create a 1m zone where we enter.
7. Smaller targets allow more movement to trade buys and sells within a larger leg as long as we are following the rules (Ping-Pong). Before each trade, we must play our 2-Phase Theorem, even from an IPB.
 8. Partial uncertain/higher risk trades at key levels, or put your stop-loss at breakeven if we create a sweeping mitigation after our manipulation entry. We want to see the market as 2 things: continuation or reversal. We always want to trade the pure manipulation levels; manipulation = large move.

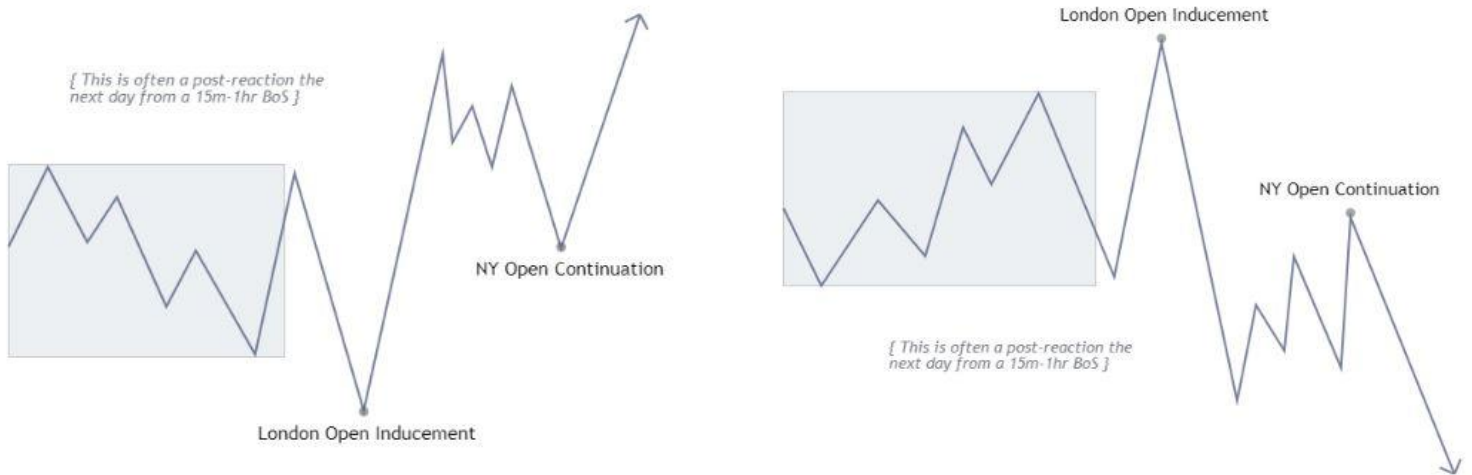
Asian Session Manipulation Cycles:

Following the price action and manipulation of the Asia Session range can structure the overall idea of movement & direction for London and New York. All setups will slightly vary and are dependent on what happens to the left.

Asian Whipsaw (AWS) (Case Study 1)



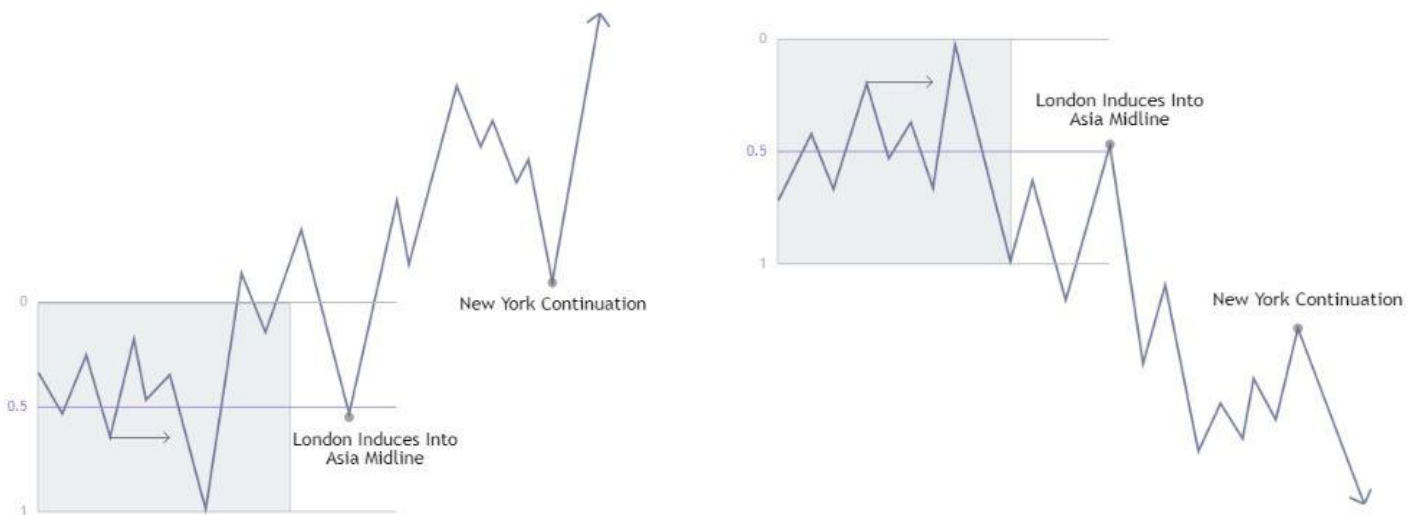
Asian High/Low (Case Study 2)

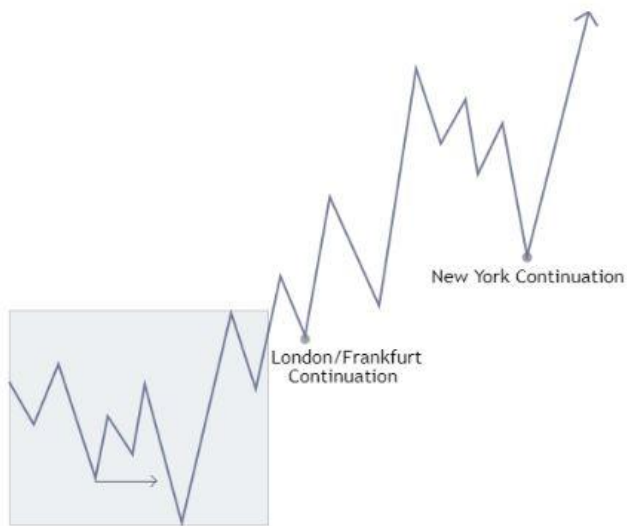


Asian Continuation (Case Study 3)

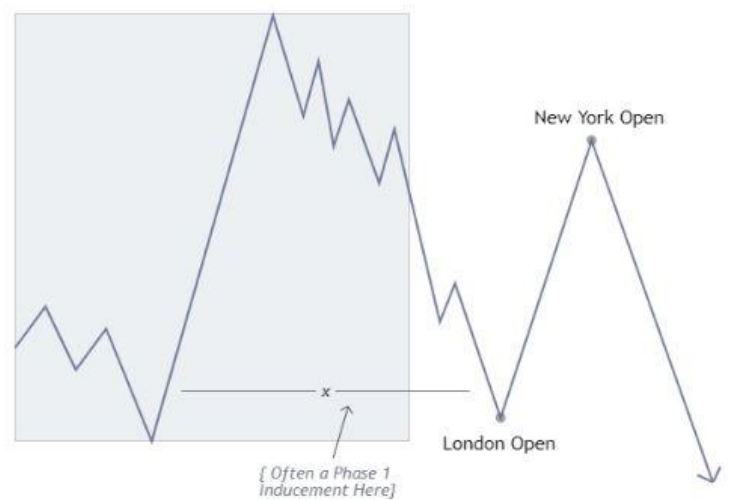
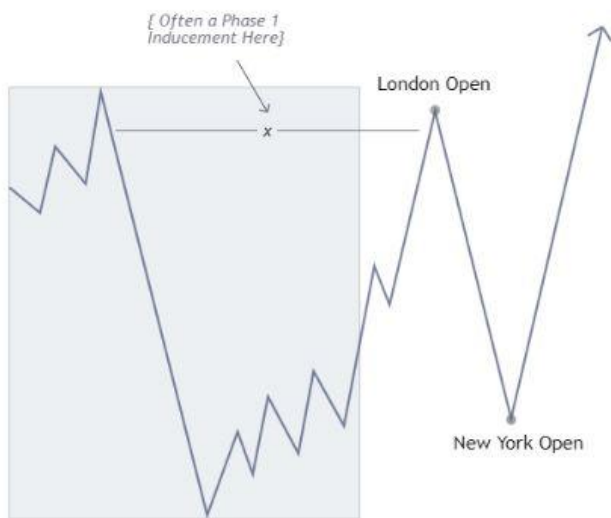
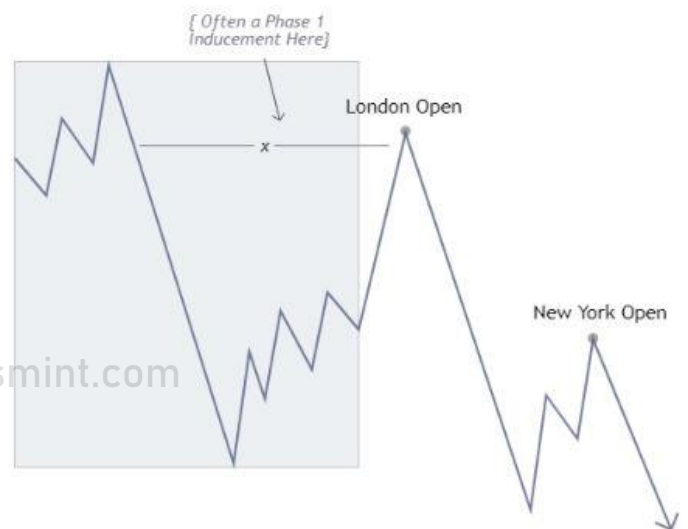


Asian High-Low/Midline Mitigation (Case Study 4)





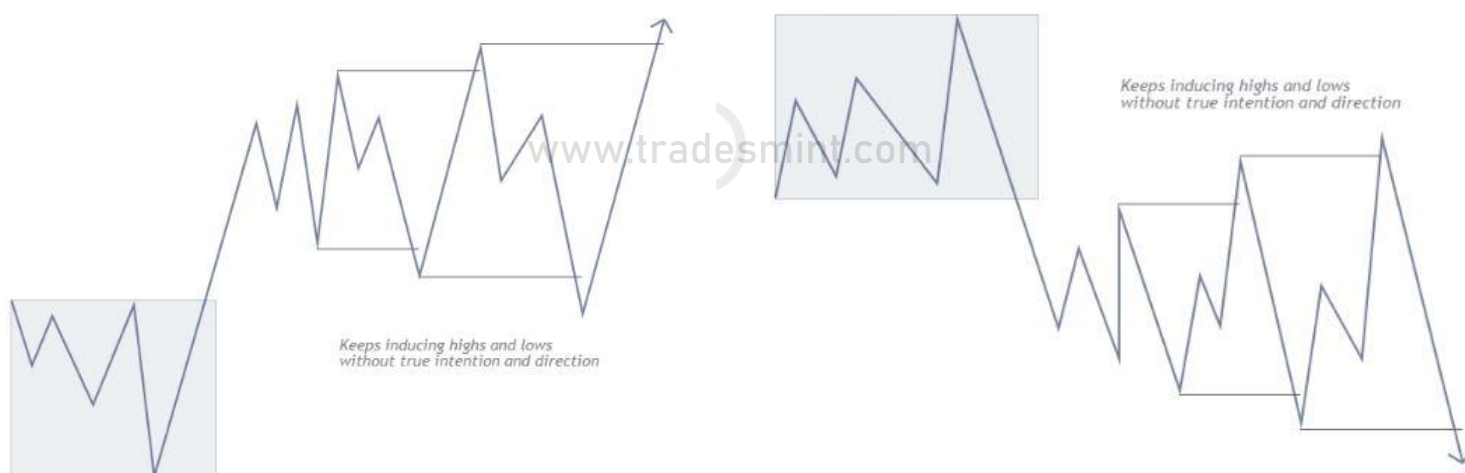
Impulsive Asian Range (Case Study 5)



Asia + London Liquidity Phase 1 Build-Up (Case Study 6)



Completely Range-bound (Case Study 7)



Asia Session Characteristics:

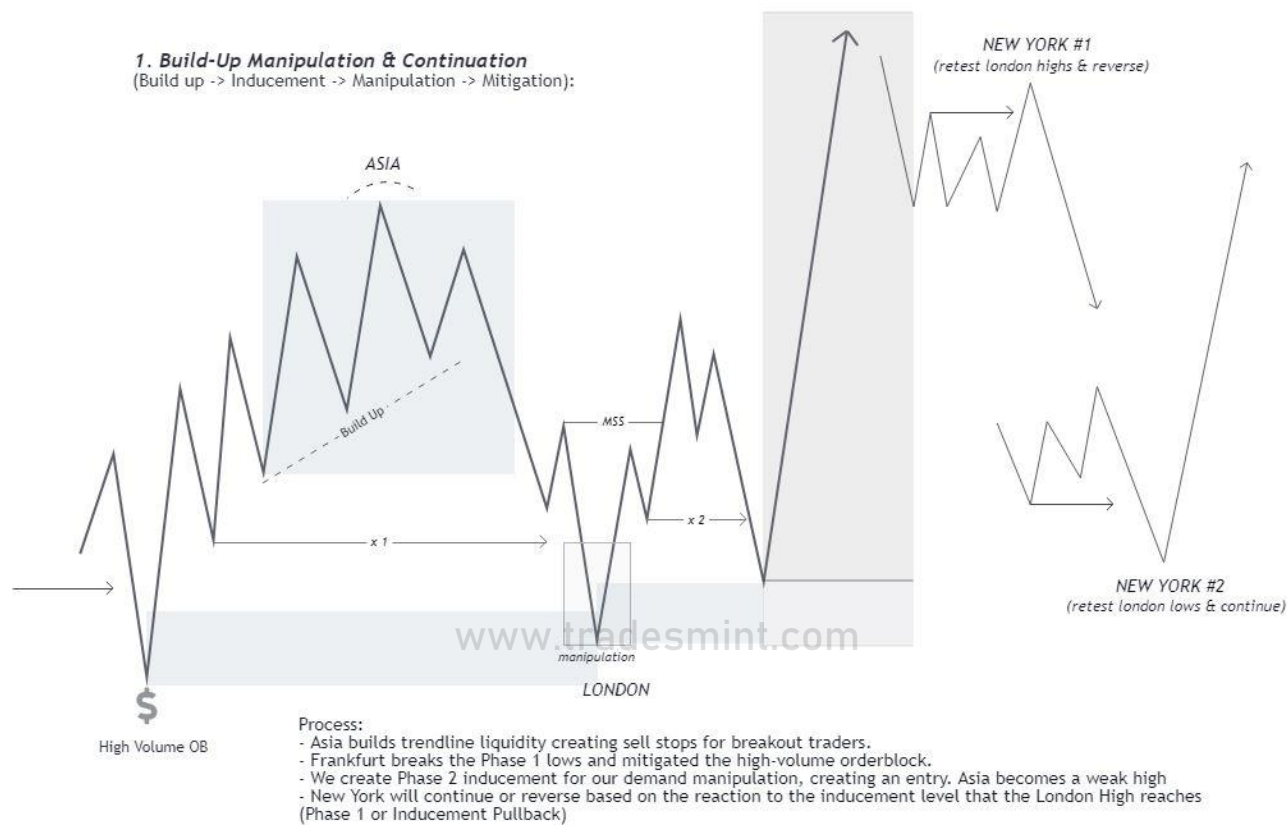
- If we are moving in an uptrend during Asia, we are inducing buying by creating a liquidity build-up. Therefore, we will take these buyers out at as our FF/London manipulation – we can sweep-wick them, retest, then continue up, or continue higher, take out their buy-stop continuations and reverse.
- If we are moving in a downtrend during Asia, we are inducing selling by creating a liquidity build-up. Therefore, we will take these sellers out at as our FF/London manipulation – we can sweep-wick them, retest, then continue down, or continue down, take out their sell-stop continuations and reverse.
- Asia can either act as a liquidity source for London and New York with it's high and low, or it can sweep and mitigate high-volume orders to create a continuation orderblock.
- If the height of Asia's movement is 40+ pips, we usually create a continuation orderblock for London to trade from due to its impulsiveness. A smaller pip height signifies a liquidity build up for a side (or both) to get taken then reverse.

The Daily Cycle

3 Most Common Daily Cycle Variants:

1. Build-Up, Manipulation & Continuation

Diagram:



Actual Example:

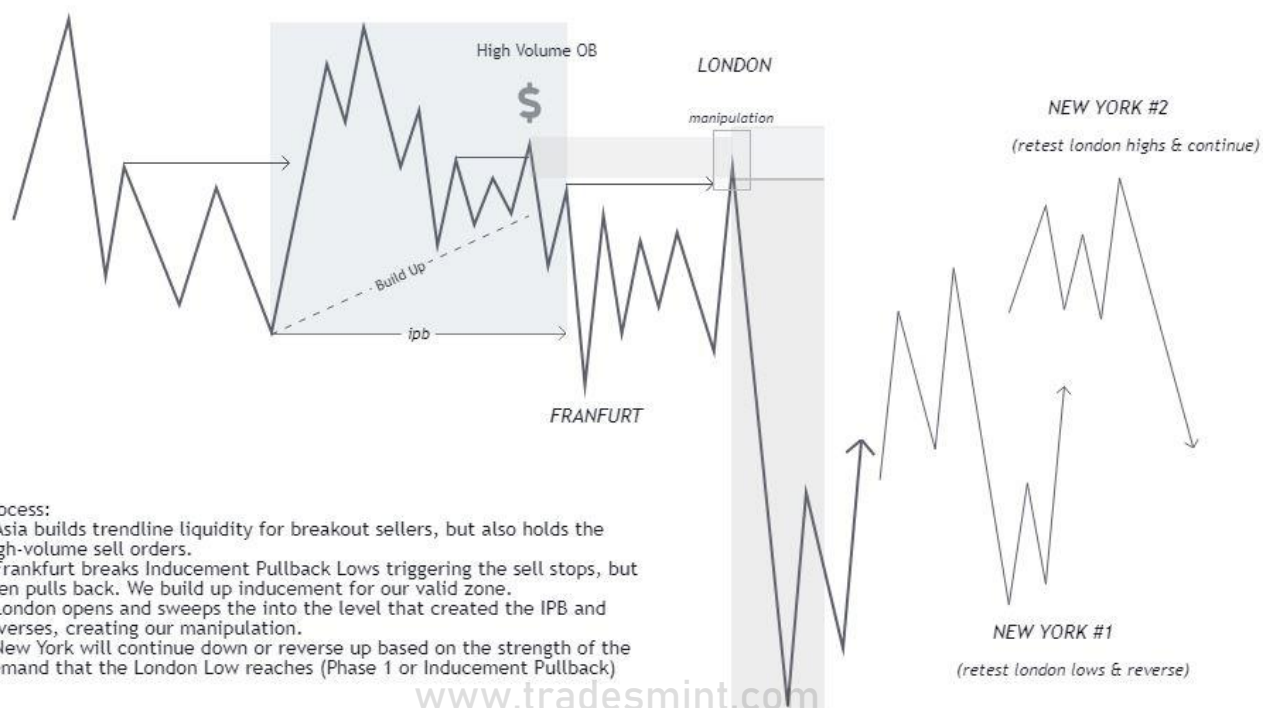


2. Break and Retest

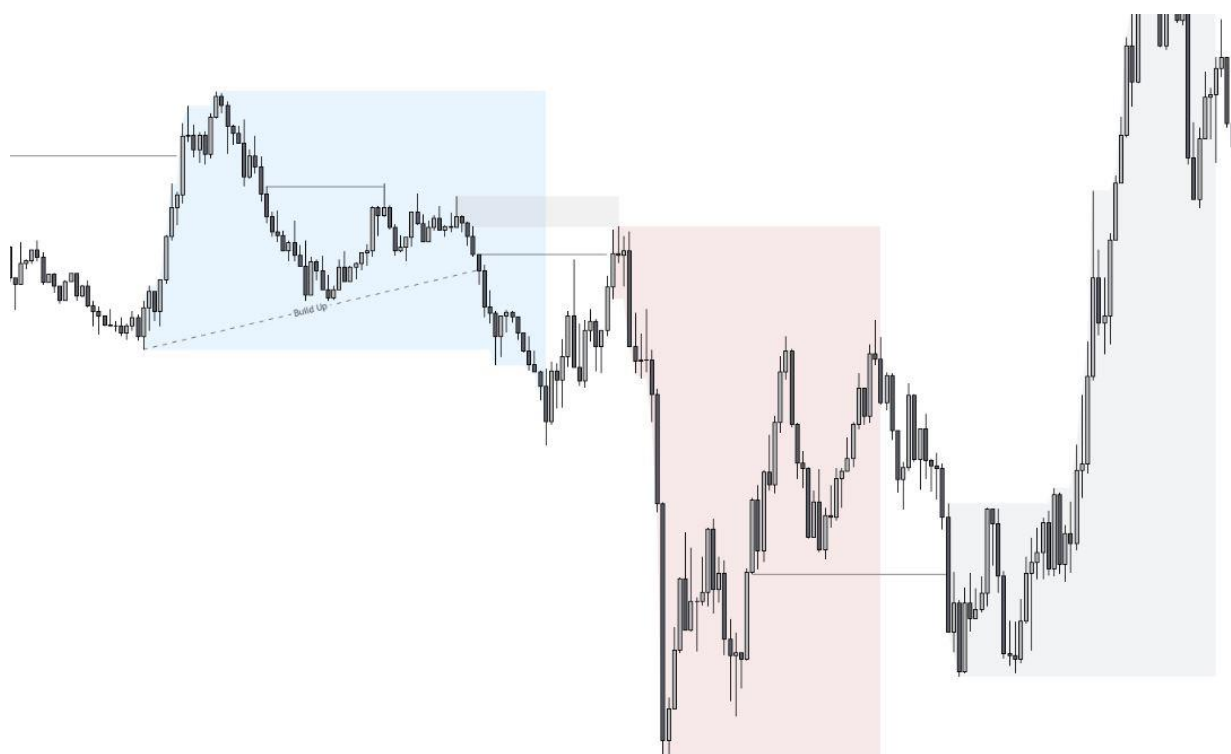
Diagram:

2. Break and Retest

(Build up -> Inducement -> Manipulation -> Mitigation):

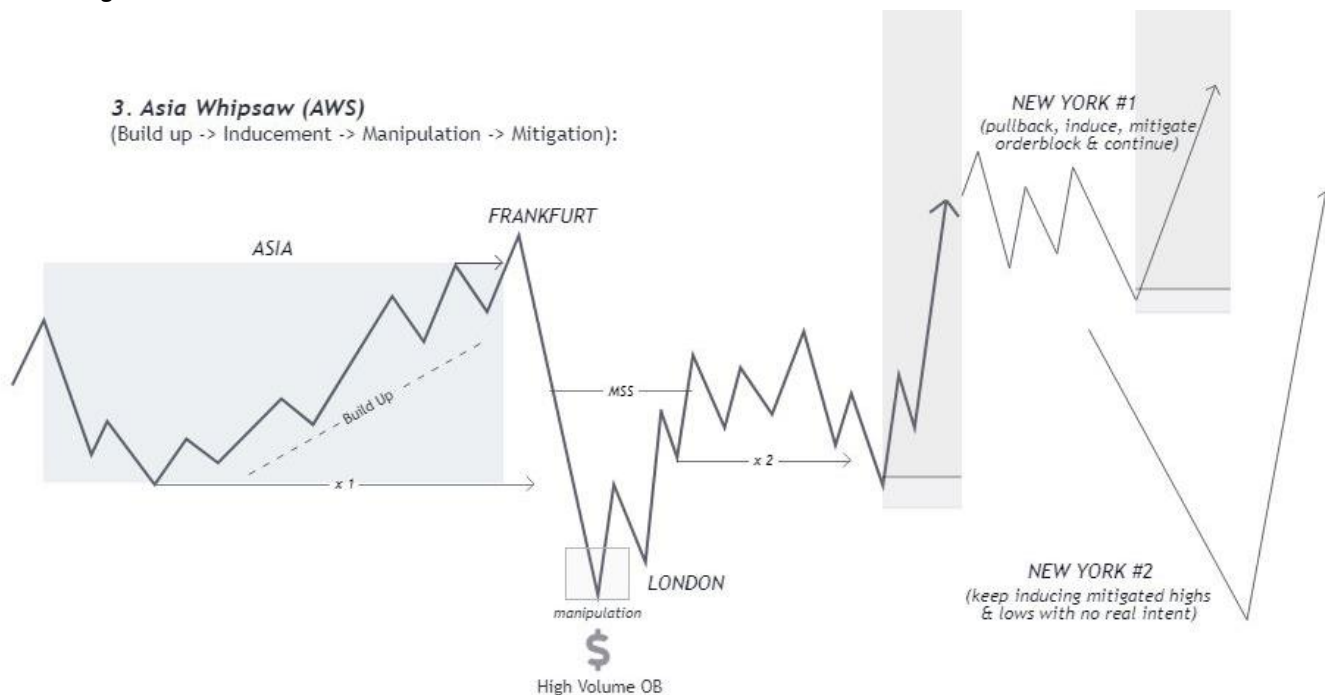


Actual Example:



3. Asian Whipsaw

Diagram:



Process:

- Asia builds trendline liquidity creating sell stops for breakout traders.
- Frankfurt triggers possible buy stops of Asia highs, then reverses towards the lows
- Frankfurt + London sweep the Asia lows, effectively whipsawing it's range. London then mitigates a high volume demand after manipulating the Phase 1 lows.
- London creates a market structure shift to confirm the reversal. It then creates Phase 2 Inducement for a continuation buy trade.
- New York will either manipulate then continue up or breaks highs and lows with no real intent, depending on the strength of the buy-side inducement level it encounters (Phase 1 or Inducement Pullback).

Actual Example:



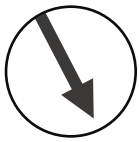
Utilising Direction & Momentum with the Daily Cycle

Based on the expectational order-flow and its respective HTF influence, we can get an understanding of price's current intentions. The algorithm has a pre-determined HTF objective to play out, and it's our job to piece the puzzle together.

Daily Cycle Trading Process: (TOP ROW - **incoming momentum**, SIDE COLUMN - **intra-day movement factors**)

1. Determine our current momentum by analysing where current price is reacting from on a higher timeframe, and its previous days influence (e.g., we might be within a HTF Phase 1 Inducement or heading into an opposing 1H orderblock). This will help us understand price's movement targets.
2. Match the daily cycle variant and momentum below with today's price action. Follow the 8-Step Process (page 6) listed above to markup current **trend bias**, **manipulation areas (including Asia)**, locating **inducement + high-volume orderblocks**, and **pullback/reversal** levels.
3. Utilise the 2-Phase inducement theory for our reversal before each continuation trade and utilise your risk management. Using this concept, we can understand which liquidity will be targeted during each session – *each incoming trend direction setup will slightly differ to the diagrams provided.*

	DOWN/UP-TREND RUN CONTINUATION ↓	SLIGHT DOWN/UP-TREND RUN CONTINUATION ↓	WITHIN IN A RANGE ↓	TREND-REVERSAL TOP/BOTTOM ↓
ASIA MANIPULATION (Will vary based on diagrams above)	• If it doesn't mitigate the pro-trend high-volume orders: Consolidates and creates more Phase 1 liquidity for NY/London • If it does impulse & mitigates high-volume orders: Creates a playable orderblock for London or New York • If Asia starts high (if buying) or low (if selling) on yesterday's leg, Asia and London may contribute to creating more Phase 1 Inducement.	• If it doesn't mitigate the pro-trend high-volume orders: Consolidates and creates more Phase 1 liquidity for NY/London • If it does impulse & mitigates high-volume orders: Creates a playable orderblock for London or New York • If Asia starts high (if buying) or low (if selling) on yesterday's leg, Asia and London may contribute to creating more Phase 1 Inducement.	• Will often create it's high and low in the centre of the ranging leg by consolidating • It is most common to see the Asian Whipsaw setup • Asia can be impulsive and create the range's main leg.	• If it doesn't mitigate the pro-trend high-volume orders: Consolidates and creates more Phase 1 liquidity for NY/London • If it does impulse & mitigates high-volume orders: Creates a playable orderblock for London or New York • If Asia starts high (if buying) or low (if selling), Asia and London may contribute to creating more Phase 1 Inducement.
MOVEMENT EXPECTATIONS	• Price holds a lot of pro-trend momentum, seeing a low chance of a reversal for the day – this is done by mitigating the pro-trend high-volume zone and taking out it's respective Phase 1 Inducement (manipulation). > If it isn't targeting a high or low for the day, it may be consolidative and create a continued run to reach the opposing Phase 1 Mitigation-Inducement to the left.	• Price is moving with pro-trend momentum but with slightly less as there is medium/strong opposing supply/demand. Due to the build-up, we may have impulsive liquidation depending on the reaction to the left. • Price could potentially be slowing down to enter a reversal point in which can create a setup later that day or for the next day	• Price will move without a clear bullish/bearish bias. This can create as sort of daily accumulation that can be manipulated the next day/s or sometimes during New York	• Price creates a strong momentum shift to move with force towards the next HTF Phase 1 Inducement. We can often play the continuation after the origin of this movement, but it might not always be a full reversal.
CHARACTERISTICS	• New York often provides the biggest move for this setup if Asia and London contribute to the Phase 1 Inducement and don't mitigate the high-volume order zone. • With this setup, there will usually only be weak pullback zones to the left that are unable to change the trend structure for the day	• Due to the slight pro-trend movement, we often need to take more liquidity than usual to sustain the direction. This is why New York is most commonly the largest move for this setup. • The opposing supply/demand creates both buy and sell opportunities, often to the Phase 1 inducement points	• Price is essentially stuck within a larger leg's range with opposing demand and supply • This is often the setup used for Ping-Pong trading	• This setup is best to play after the V-SR reaction that created the first impulsive move to move in the other direction • This often occurs after a HTF demand/supply mitigation or a HTF (15m+) liquidity sweep into an active zone
COUNTER-TREND TRADABLE?	VERY RARELY	YES	YES (No trend bias)	NO



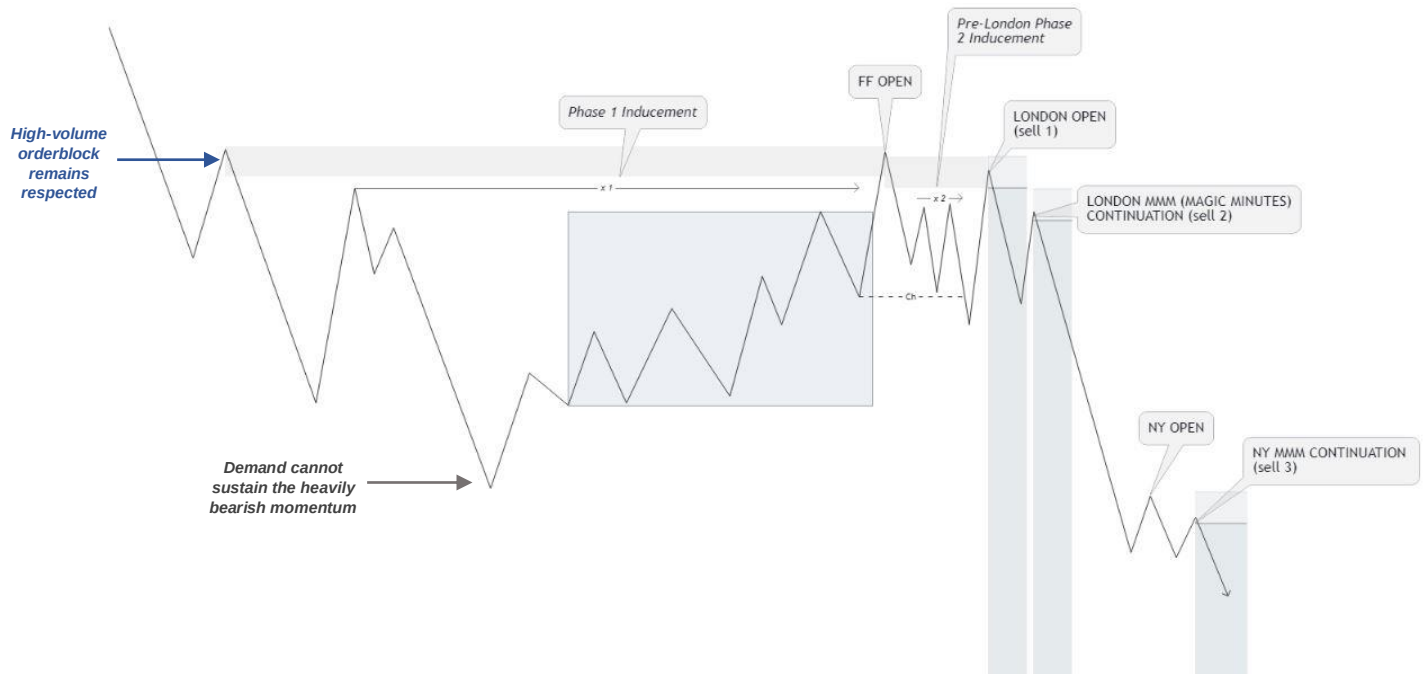
For this setup, price will be incoming with this momentum

Downtrend Run Continuation

(Heavily Bearish Direction – Strong Momentum)

There is an expectation that no demand zone to the left will be able to break protected buy-side structure (unless we are HTF countertrend), so when the high-volume supply is manipulated, there will be a downward continuation.

Diagram Example (Build-Up Manipulation & Continuation):



Real Example:



Order of Events:

- ① Frankfurt takes Asia high's Phase 1 inducement then breaks demand to create a 5m shift in market structure (MSS)
- ② Frankfurt's session (Pre-London) creates Phase 2 inducement for London open.
- ③ London opens by mitigating Frankfurt Open's valid supply zone. {Sell Opportunity 1}
- ④ London Magic Minutes (1.5 hours after open) mitigates London Open and sweeps liquidity. {Sell Opportunity 2}
- ⑤ New York Open mitigates the supply chain down. New York's Magic Minutes (1.5 hours after open) create a final intra-day drop to the downside. {Sell Opportunity 3}



For this setup, price
will be incoming
with this momentum

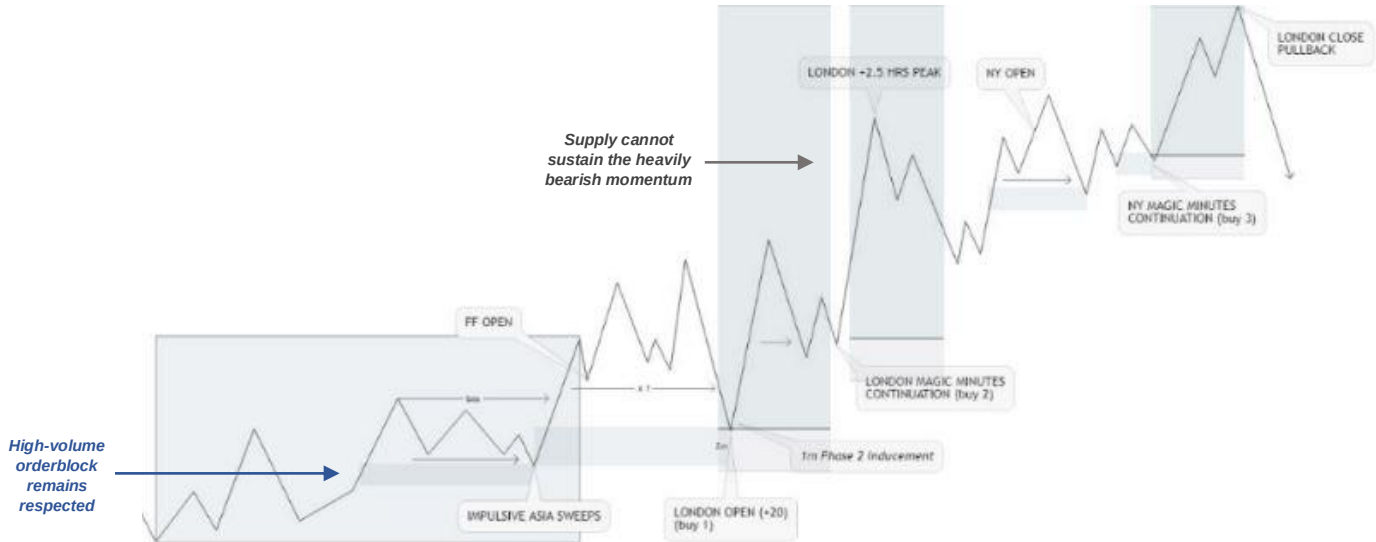
15

Uptrend Run Continuation

(Heavily Bullish Direction – Strong Momentum)

There is an expectation that no supply zone to the left will be able to break protected sell-side structure (unless we are HTF countertrend), so when the high-volume demand is manipulated, there will be an upwards continuation.

Diagram Example (Break and Retest):



Real Example:



Order of Events:

- ① Asia sweeps liquidity and mitigates the high-volume orders after an IPB, then impulses to break structure and create a playable demand zone.
- ② Frankfurt's session (Pre-London) contributes to the Phase 1 inducement for Asia's zone.
- ③ London Open whipsaws the high and low of Frankfurt, and mitigates the Asian midline zone whilst sweeping Phase 1 inducement. A <1m Phase 2 inducement creates trade confirmation for this zone. {Buy Opportunity 1}
- ④ London Magic Minutes (1.5 hours after open) mitigates London Open and sweeps liquidity. {Buy Opportunity 2}
- ⑤ New York continues this demand chain with a valid setup during it's Magic Minutes, creating a final intra-day push to the upside until London Close. {Buy Opportunity 3}



For this setup, price
will be incoming
with this momentum

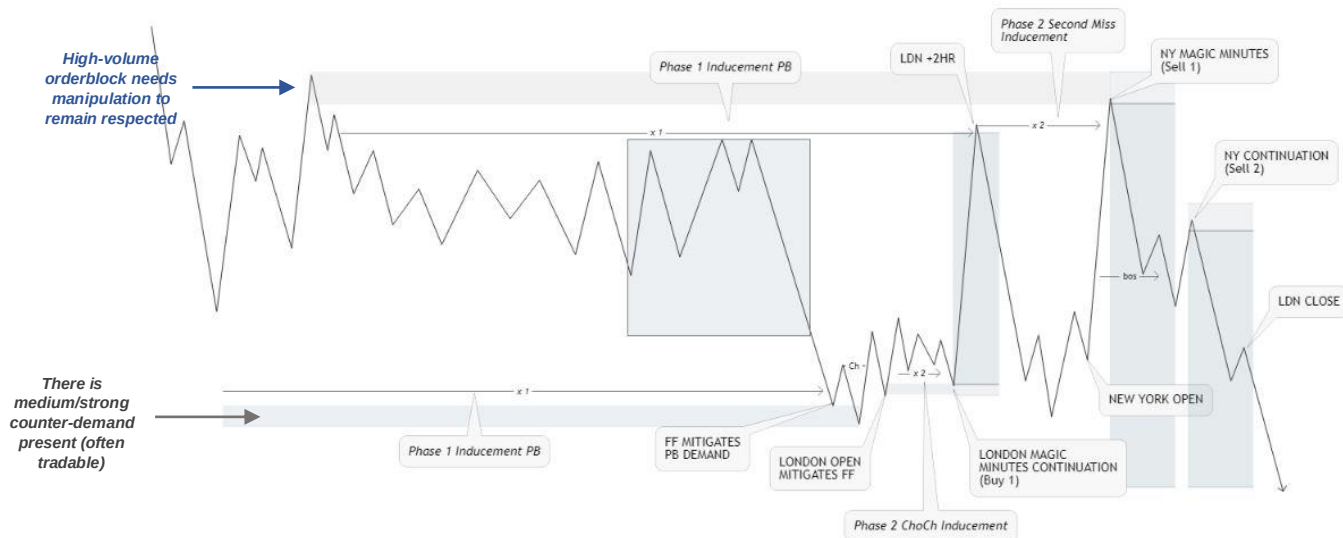
16

Slight Downtrend Continuation

(Slightly Bearish Direction - Medium Momentum)

Slightly bearish means there is medium/strong opposing demand that will contest the current downtrend. The lack of momentum may signal a corrective build-up of liquidity for a later bullish reversal if we break our main high-volume supply.

Diagram Example (Build-Up, Manipulation & Continuation):



Real Example:



Order of Events:

- ① Frankfurt takes Asia's low and mitigates a clear pullback demand zone (from a leg that didn't break structure to the upside). We then create a ChoCh by breaking structure to the upside.
- ② London open mitigates Frankfurt, and leaves a valid orderblock with Phase 2 ChoCh inducement.
- ③ London Magic Minutes mitigates this orderblock and runs to the upside, clearing the Asia high – Asia has now become whipsawed by London. {Buy Opportunity 1}
- ④ New York Open pushes up to sweep London's high after it's pullback, clearing the Phase 2 Second Miss inducement.
- ⑤ New York's Magic Minutes tap into the strong bearish orderblock for a clean trade opportunity. {Sell Opportunity 1}
- ⑥ New York creates a downwards continuation, with a final sweep of liquidity after reacting to the weak extreme demand. {Sell Opportunity 2}



For this setup, price
will be incoming
with this momentum

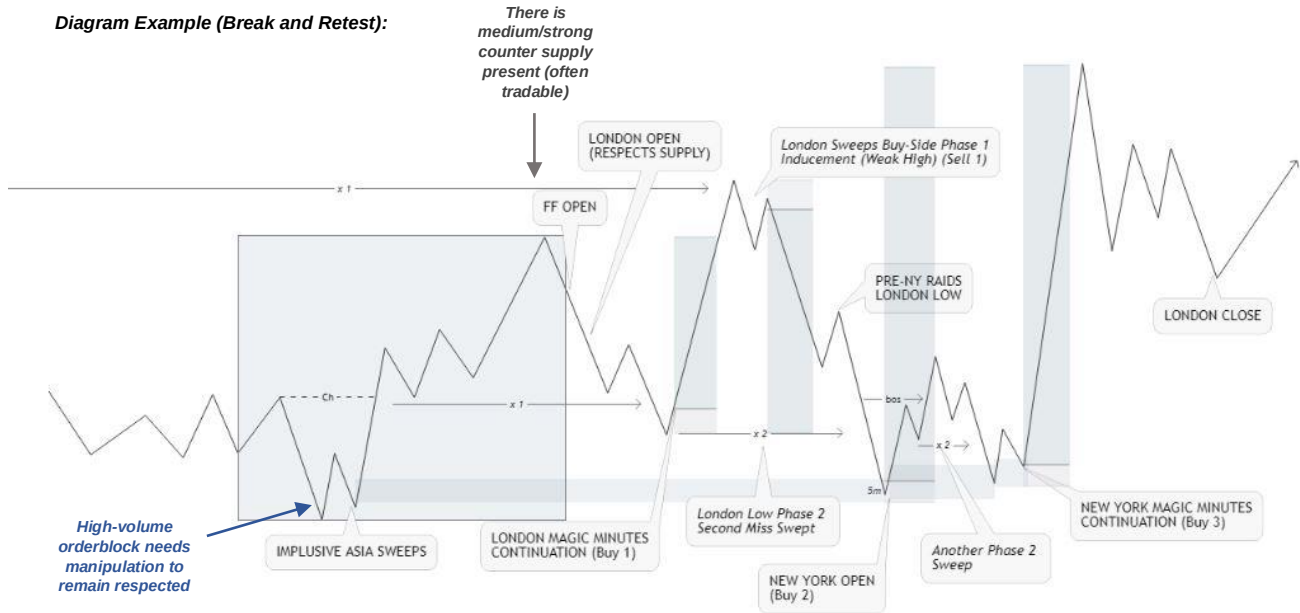
17

Slight Uptrend Continuation

(Slightly Bullish Direction - Medium Momentum)

Slightly bullish means there is medium/strong opposing supply that will contest the current uptrend. The lack of momentum may signal a corrective build-up of liquidity for a later bearish reversal if we break our main high-volume demand.

Diagram Example (Break and Retest):



Real Example:

Order of Events:

- ① Asia mitigates high-volume orders and sweeps liquidity to create a ChoCh with valid orderblock rules.
- ② Frankfurt and London open contribute to the Asia orderblock Phase 1 inducement which then gets swept but doesn't enter the zone.
- ③ London Magic Minutes mitigates this sweep creating a trade opportunity to the next point of supply, sweeping Asia's high. {Buy Opportunity 1}
- ④ Once London sweeps the weak leg's Phase 1 to pullback, it mitigates down to take London's low. {Sell Opportunity 1}
- ⑤ New York Open mitigates the Asia orderblock to create a ChoCh. New York's Magic Minutes (1.5 hours after open) creates a continuation to the upside. {Buy Opportunity 2&3}



For this setup, price
will be incoming
with this momentum

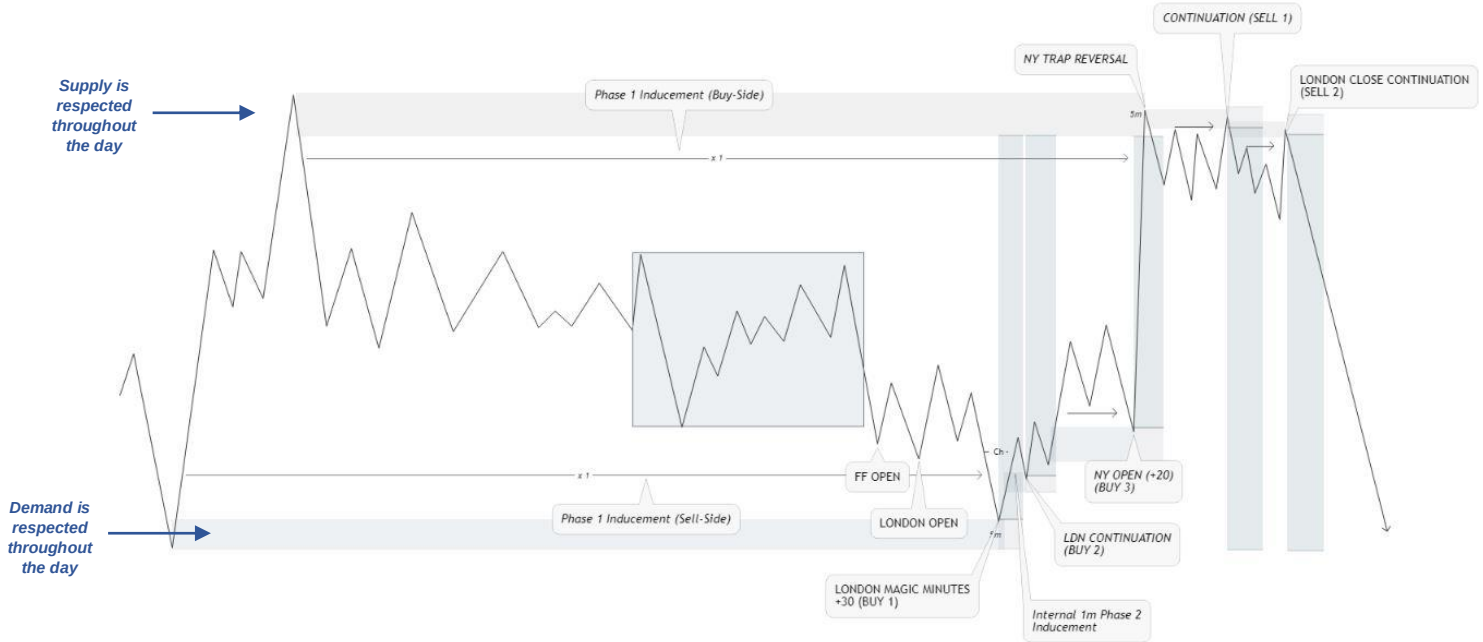
18

Within a Range

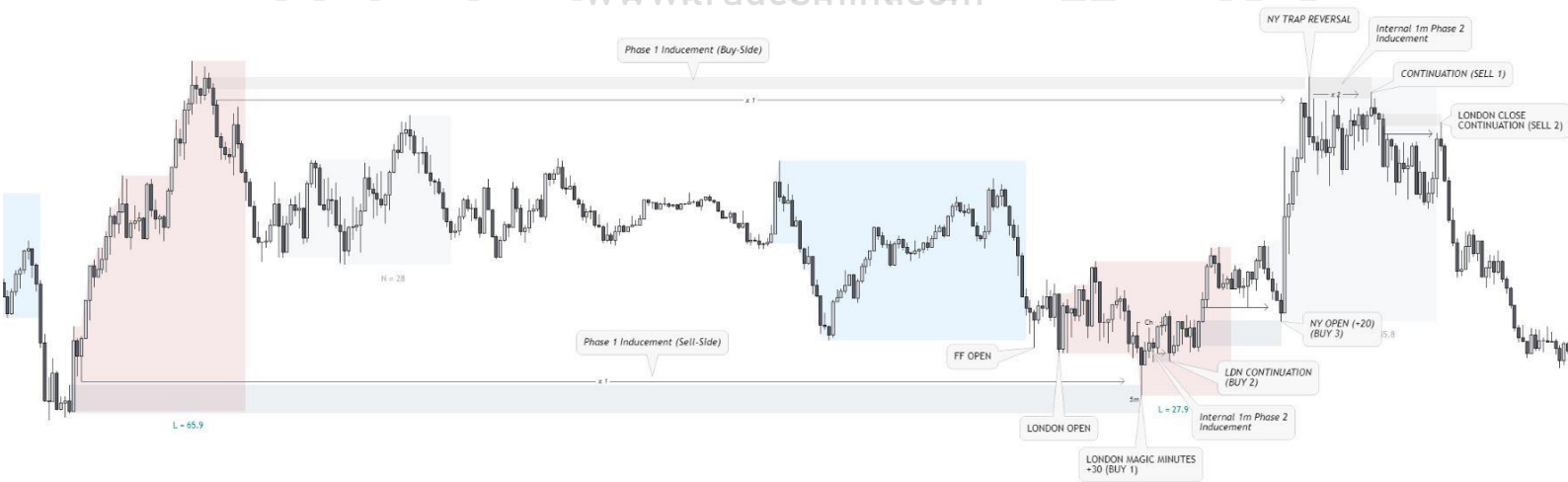
(No Trend Bias - Opposing Momentum)

In this scenario, demand and supply are both internalised within a range. This means we can trade within the top and bottom confines of the extremities. New York often creates a continuation, breaking the bottom/top depending on the HTF:

Diagram Example (Build-Up, Manipulation & Continuation):

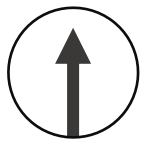


Real Example:



Order of Events:

- ① Asia contributes to the buy-side Phase 1 inducement, then gets its low swept at Frankfurt Open.
- ② London Open sweeps Frankfurt open, and contributes to building more sell-side Phase 1 inducement.
- ③ London Magic Minutes tap into our ranging leg's demand zone and impulses, creating a ChoCh. {Buy Opportunity 1}
- ④ We get an internal Phase 2 on the 1m for our London continuation. {Buy Opportunity 2}
- ⑤ New York Open mitigates the demand chain up and sweeps. {Buy Opportunity 3}
- ⑥ New York's trap time begins with a reversal and sweeps buy-side Phase 1 inducement. It then sweeps 1m Phase 2 inducement for a continuation sell, and again sweeps and mitigates at London Close. {Sell Opportunity 1&2}

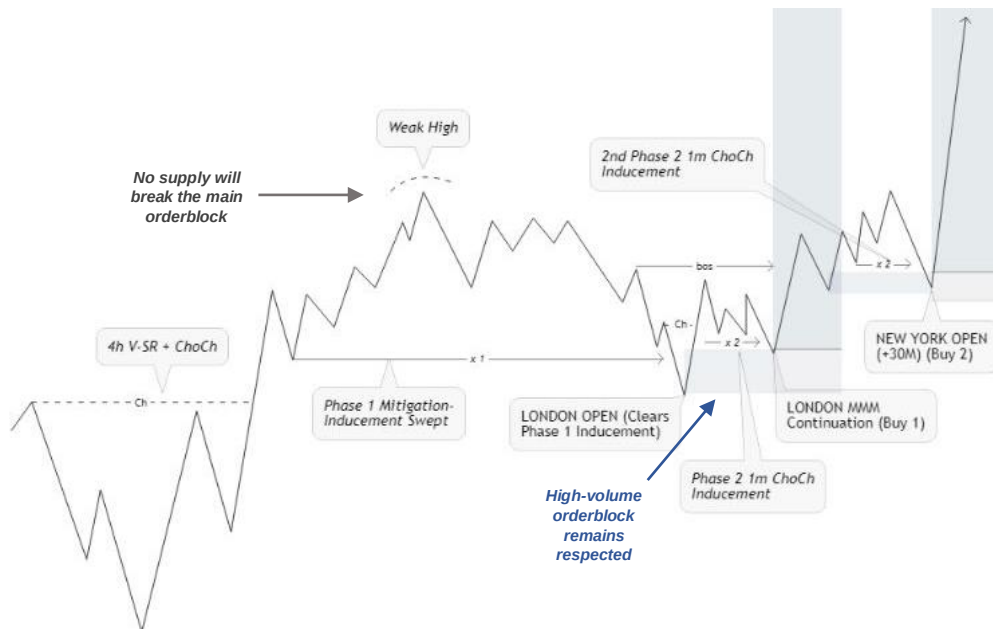


Trend-Reversal Bottom

(New Bullish Bias – Strong Momentum)

In this scenario, there is a strong intent for price to go higher. We can trade a continuation from the previous day's impulsive bullish reaction, often depicted as a V-SR that creates a shift in market structure and sweeps HTF liquidity.

Diagram Example (Build-Up, Manipulation & Continuation):

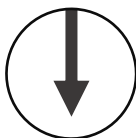


Real Example:



Order of Events:

- ① Before this day, there was a large 4hr V-SR that created a MSS – we want to play this as a continuation up.
- ② While Asia adds more inducement to the Phase 1 by consolidating, London Open takes the low and sweeps the Phase 1. This creates an impulsive ChoCh and an open valid demand zone.
- ③ London Magic Minutes mitigates this zone and also sweep a small Phase 2 ChoCh inducement. {Buy Opportunity 1}
- ④ New York Opens (+30m) by mitigating a London zone that has carried the high-volume orders and sweeps another Phase 2 inducement pool. We continue up with force. {Buy Opportunity 2}



For this setup, price
will be incoming
with this momentum

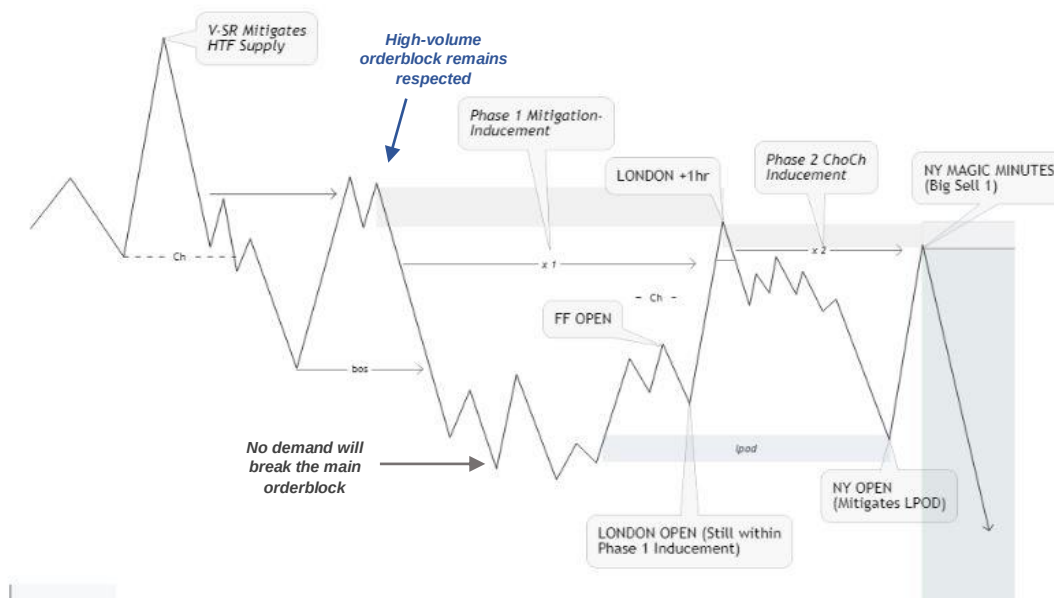
20

Trend-Reversal Top

(New Bullish Bias – Strong Momentum)

In this scenario, there is a strong intent for price to go lower. We can trade a continuation from the previous day's impulsive bearish reaction, often depicted as a V-SR that creates a shift in market structure and sweeps HTF liquidity.

Diagram Example (Build-Up, Manipulation & Continuation):



Real Example:



Order of Events:

- ① Before this day, there was a large 2hr V-SR that created a MSS – we want to play this as a continuation down.
- ② While Asia adds more inducement to the Phase 1 by consolidating, London Open creates a continuation of the Asian high, sweeping the Phase 1 inducement.
- ③ London Magic Minutes (-30m) mitigates the strong supply zone carrying the high-volume orders, creating a ChoCh.
- ④ London continues down, creating a Phase 2 ChoCh inducement and falls towards the LPOD to create a NY entry.
- ⑤ New York Open mitigates the LPOD, and New York's Magic Minutes mitigates the strong supply zone, sweeping the Phase 2 inducement and creating a tradable entry. {Sell Opportunity 1}

Utilising the Daily Cycle with the **Weekly Cycle (1hr)**



Although each week is different, this is a common variance in the way liquidity is targeted with every day of the week

Monday (+ sometimes Tuesday): Often the 'fake move' of the week to continue its move into a stronger HTF zone and become future liquidity in the later of the week.

Tuesday - Thursday: Often the 'real move' of the week with continuations after a large manipulation liquidity grab.

Friday: Usually a lesser volatility continuation or a reversal accumulation to be used as liquidity for next week. Sometimes Thursday can start the reversal.

Note: Exceptions to this are dependent on which day/s grab the high-volume orders and create valid orderblocks

Utilising Valid Orderblocks:

Entry Orderblock Setups

With the overall inducement strategy, orderblocks aren't just certain supply/demand zones, but instead are for locating a tradable reaction zone with high money volume after sweeping mitigated liquidity (Phase 1):

1. Engulfed Orderblock

If we have a buy/sell candle before a big drop/up-move and it has clear inducement above/below it. These are the cleanest as institutions always look to transfer money and clear the imbalance left behind.

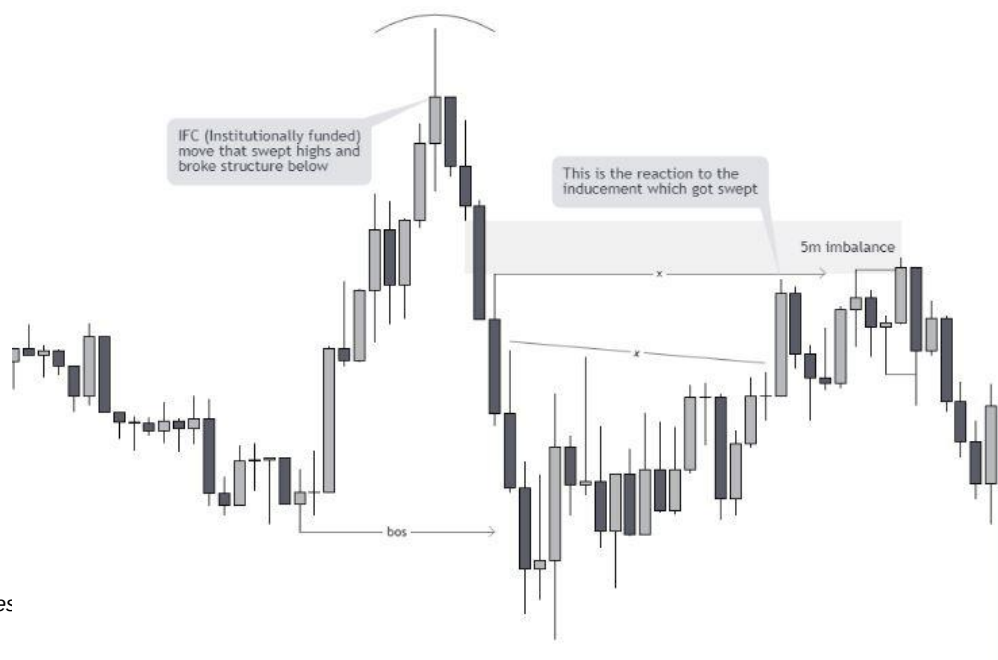
Picture example:



2. Imbalance Orderblock

If we have a big V-shaped ridge with no clear zone and have imbalance, the valid zone is after sweeping the top/bottom of the Phase 1 inducement and sweeping the last candle to mitigate the V-SR – it does not have to hit the extreme of the V-SR. Inducement shouldn't be close to the extreme, but close to the bottom (if selling) or top (if buying) of the area that created the failure. Often you can find a LTF zone in the imbalance.

Picture example:



3. Wick/Hammer Orderblock

If the 50% of a wick from an IFC is unmitigated, it can be used as an orderblock especially if more liquidity under/above it needs to be taken out. These can be high probability zones as they show that institutions are carrying the money by hitting the zone then moving in the other direction rapidly to take out buyers/sellers.

Picture example (hammer):



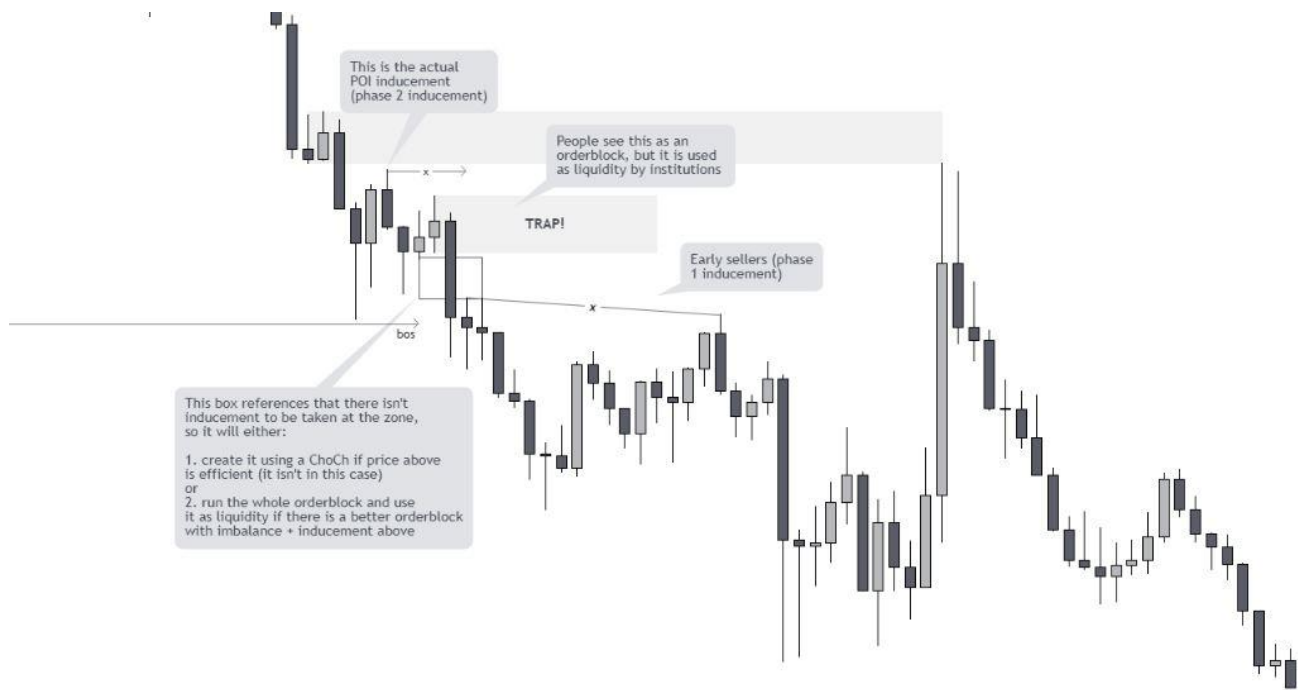
Picture example (wick):



4. Complex (Smart Money Trap) Orderblock

This is where there is a clean orderblock above/below a V-SR (that creates imbalance) but it has no inducement. Therefore, price runs this block then takes off – also known as a Smart Money Trap Orderblock. Often, we put a square above the trap block to signify its lack of inducement as seen below.

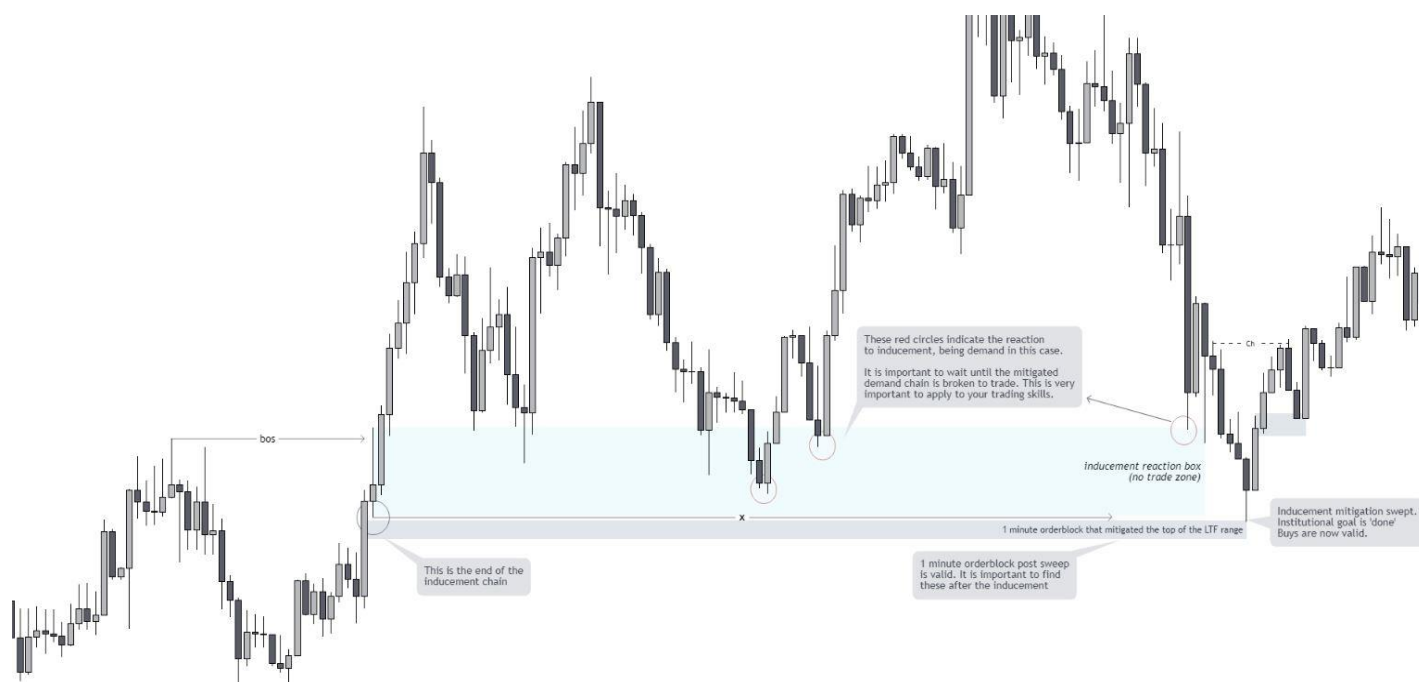
Picture example:



5. Phase 1 Inducement Reaction-Sweep (Imbalance Orderblock Idea 2)

Sometimes, price will not use a clean orderblock and you might wonder why. It is often because price reverses just after sweeping Phase 1 mitigation inducement into a larger range with imbalance. For institutions, their job is 'done' as they have taken out the chain of buy/sell-side liquidity. Sometimes, you can find an orderblock after the sweep in the LTF but may react to imbalance if there is no clean zone close after the end of the Phase 1. This illustrates the main idea of inducement-liquidity trap trading.

Picture example:



21/3/2022

Finding Valid Orderblock Setups Through the Market Flow:

Not all orderblocks mentioned above can be used blindly. There are **3 certain rules** that are needed for them to be valid:

1. **Has Imbalance** – creates inefficiency in the market due to its impulsive nature (can be found on the 1m TF)
2. **Be Impulsive** - it must create or efficiently mitigate a flow of high-volume orders (have cause in the market)
3. **Creates Inducement** - above/below it must create Phase 1 mitigation-inducement in the timeframe of reference. We can have our Phase 2 before, or create it after mitigating the orderblock

Orderblock Tips:

- Orderblocks that sweep liquidity are often higher probability (or mitigate something that swept)
- Refine it up to the 1m by overlaying your supply/demand boxes. Don't over-refine.
- Price slight entering your orderblock when refining is a failed mitigation and will be swept.
- Daily OB – 4h, 4h OB – 15m, 15m OB – 5m/1m, 5m OB – 1m, 1m OB – 15s/5s.

How to identify unobvious orderblocks (high volume money areas) through range boxes:

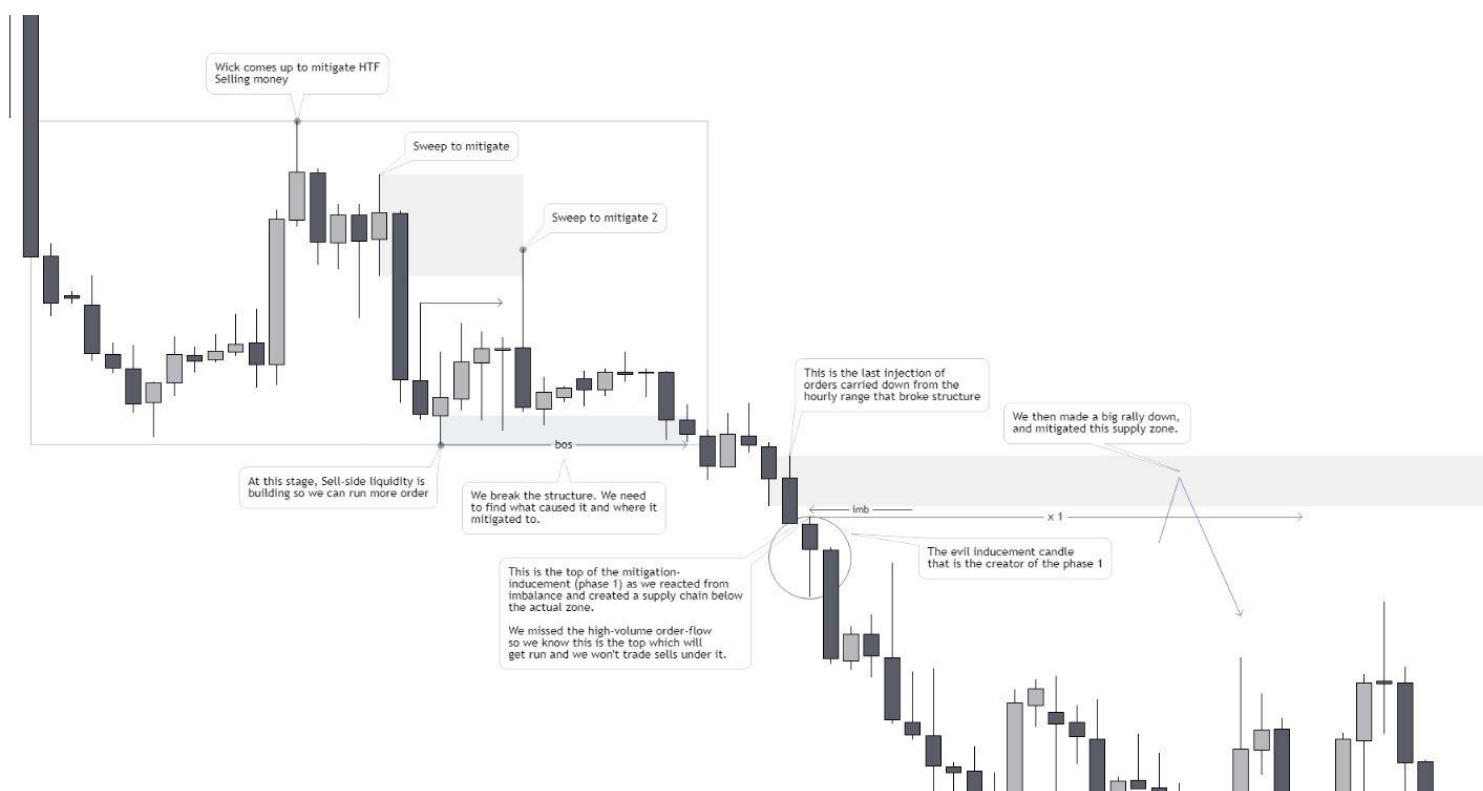
IDEA: Range boxes help to interconnect order-flow through mitigation and help to identify IFC manipulation (sweeps). This helps us figure out where the injection of volume has mitigated to and where it induces.

EXPLAINED: Use boxes to encompass ranges before an entry orderblock setup and analyse what they are doing. Look to the left to see what price will interfere with and why.

Below explains the idea of a range which leaves the volume of orders behind though imbalance. In our range, we are sweeping sellers to mitigate the supply order-flow and create a support of retail liquidity to break through at the bottom (buyers).

As we break through demand (BoS), we fail to mitigate the volume of orders down as we leave imbalance/inefficiency (cited below), meaning we have a failed mitigation. This is done to fuel an even larger move to the downside as we build a chain of mitigation-inducement (Phase 1) before re-grabbing the injection of orders that was the **cause** of the structural break. When we tapped into the zone (not shown below), we had a large reaction creating a sell trade opportunity.

The circled candlestick below represents the extreme of the Phase 1 inducement. We now know not to trade below this created level as these traders are classified as early sellers. There is still day-trade opportunity within inducement, but it is important to be mindful that it will get run.



The 2-Phase Inducement Theorem

Inducement and why it is the forefront of trading – theory + application

(‘x1’ = Phase 1, ‘x2’ = Phase 2)

Overall Idea – we want to find 2 inducement phases to validate a reversal before trading it's continuations:

- Inducement is a fractal liquidity trap that takes place above/below valid orderblocks to fuel large moves
- After we have the 2-Phase Reversal, we can follow order-flow with IPB continuation within our buy/sell equilibrium until reaching our counter Phase 1 reversal target
- If an inducement phase is small in the timeframe of reference, it will build another small phase (two small Phase 2's)
- Inducement creates mitigation-like reactions to act as supply & demand. It does this to compile more orders to then liquidate

Timing: The two phases below must take place before a reversal. This 2-Phase strategy happens on every timeframe until the 1m entry, so we want to see it happen from a 15m/5m orderblock until we look to enter. If we see the two phases happen on the 1h, 4h, or daily for example, we must wait to mitigate to the >15m timeframe to trade; the diagrams below use this concept.

The same fractal nature goes with all other timeframes (Daily – 4h, 4hr -1h, 1hr – 15m/5m, 15m/5m – 1m, 1m – 15/5s).

Phase 1: The end point of the first stage of early sellers/buyers before a 5m+ orderblock – we mitigate this inducement to build more liquidity to get swept. If we have a supply (sell) orderblock for example, price will build a false supply chain underneath, detached from the orderblock, and instead mitigate a retail level. Early seller's stop-losses will be under the true zone and get taken out as the mitigation of orders become liquidated as the orderblock's inducement.

This Phase 1 inducement structure mitigates as a supply/demand chain detached short from a valid high-volume orderblock which is why all types of traders can get induced. Target-wise, take-profits are best at the top of the horizontal inducement-mitigation level if buying, and the bottom if selling.

Phase 1 is known as:

- **Mitigation-Inducement** – Price mitigates early sellers/buyers to collect more orders to take. Phase 1 can be found when price gets mitigated below/above an imbalance and doesn't use the actual refined zone (so it ends up getting swept). We can see Phase 1 as the last level of price before the imbalance of a valid orderblock.

Phase 2: A second layer of inducement to validate the mitigation of the original orderblock. This will either build another manipulation phase before or after the orderblock tap-in. Phase 2 is the final form of inducement required to take our trade. If Phase 2 forms before the orderblock tap-in, we will have built enough inducement to play aggressively from the tap-in. If it forms after, it will create another layer of inducement again after the tap-in for a more passive valid mitigation.

Phase 2 is depicted as either:

- **ChoCh Inducement** – Another inducement phase that occurs after tapping into the orderblock refinement, mitigating/breaking our Vector Level, and creating another valid 1m orderblock to trade from as our confirmed manipulation – Most Passive
- **Resting Liquidity Before a Refined Orderblock / Smart Money Trap** – a pool of resting orders under/above an orderblock that fail to carry the high-volume orders. This form of liquidity is often used to manipulate traders before tapping into the true zone (refined orderblock). Price can run these formed zones if they don't have inducement. If the pre-tap-in accumulation size is large when we react to this liquidity (takes out a lot of orders after Phase 1), we will have less (sometimes no) post-tap confirmation. – Semi-Aggressive
- **Two Phase 1's/One long Phase 1** – Prior to hitting the refinement, two mitigation-inducements or a single long-chain mitigation-inducement with imbalance form before a clear refined orderblock, usually seen during a strong bullish/bearish run – Aggressive
- **A Second Miss of the Refinement** – after Phase 1, price misses the refinement again which impulses and breaks internal structure; this then gets swept as a second form of inducement, then rallies from the true zone - Aggressive

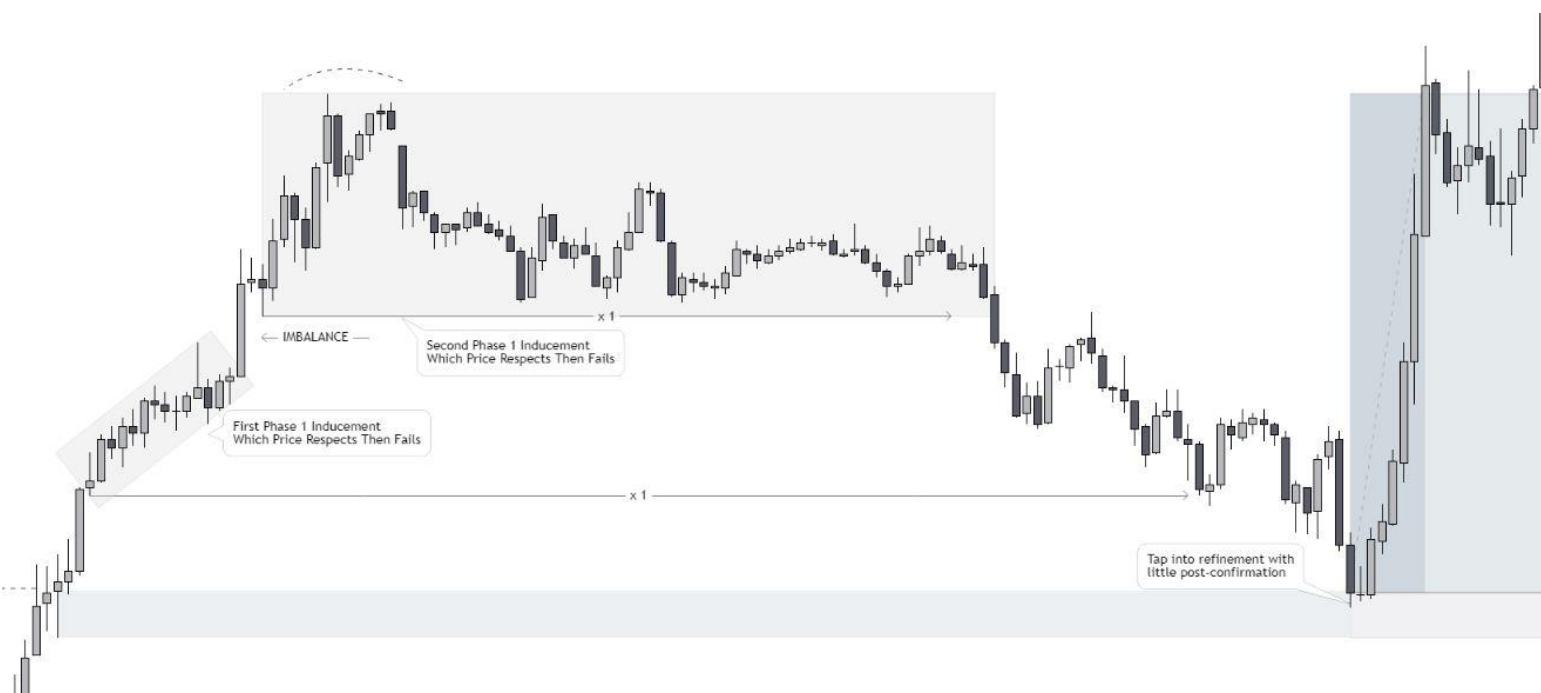


The Two Phases in Action (5-15m Charts)

15m Phase 1+2 Setup – Second Miss (Phase 2 is before the orderblock)



15m Phase 1+2 Setup – Two Phase 1's + One Long-Chain Phase 1 (Phase 2 is before the orderblock)

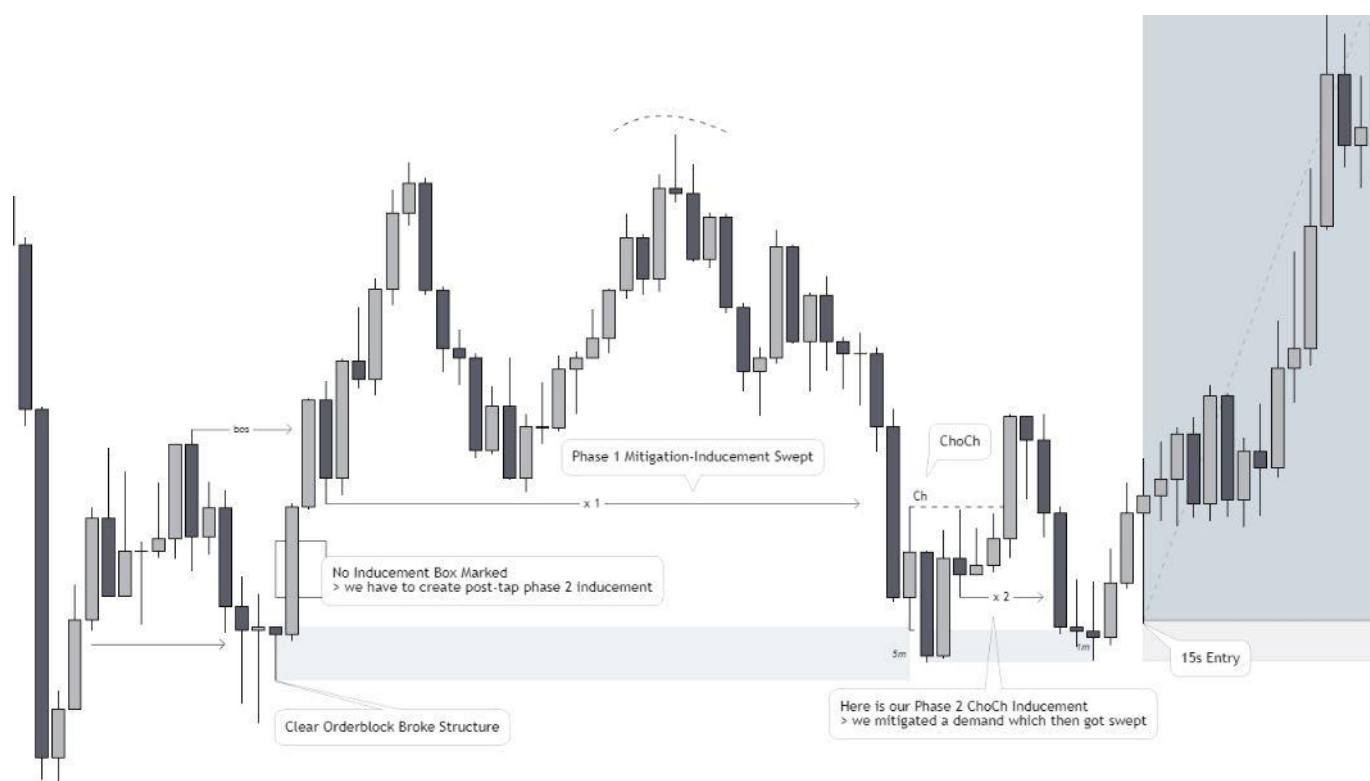




5m Phase 1+2 Setup – Resting Liquidity Before the Refined Orderblock / Smart Money Trap (Phase 2 is before & often after the orderblock)



5m Phase 1+2 Setup – ChoCh Creates Inducement (after the orderblock)



VECTORFX

www.tradesmint.com

1m LTF Entries Based on Phase 2 Inducement (Post Phase 1)

All Entry Factors/Considerations:

- The more liquidity hunted, the more impulsive the move will be
- A corrective leg will not provide much confirmation after it taps into its zone
- The Phase 2 entry types change through their mitigations into the lower timeframes
- Phase 2 pre-tap-in inducement (Second Miss + Two Phase 1's) are the only ones we should play with a limit order that is not from a 1m zone

1. ChoCh Inducement - 1m Entry – Most Passive

(Inducement is after tapping the original zone)

- After sweeping Phase 1, price will need to break the leg that created the sweep of the Phase 1 level. If we do break this structure, we create a market structure shift (MSS) confirming our ChoCh.

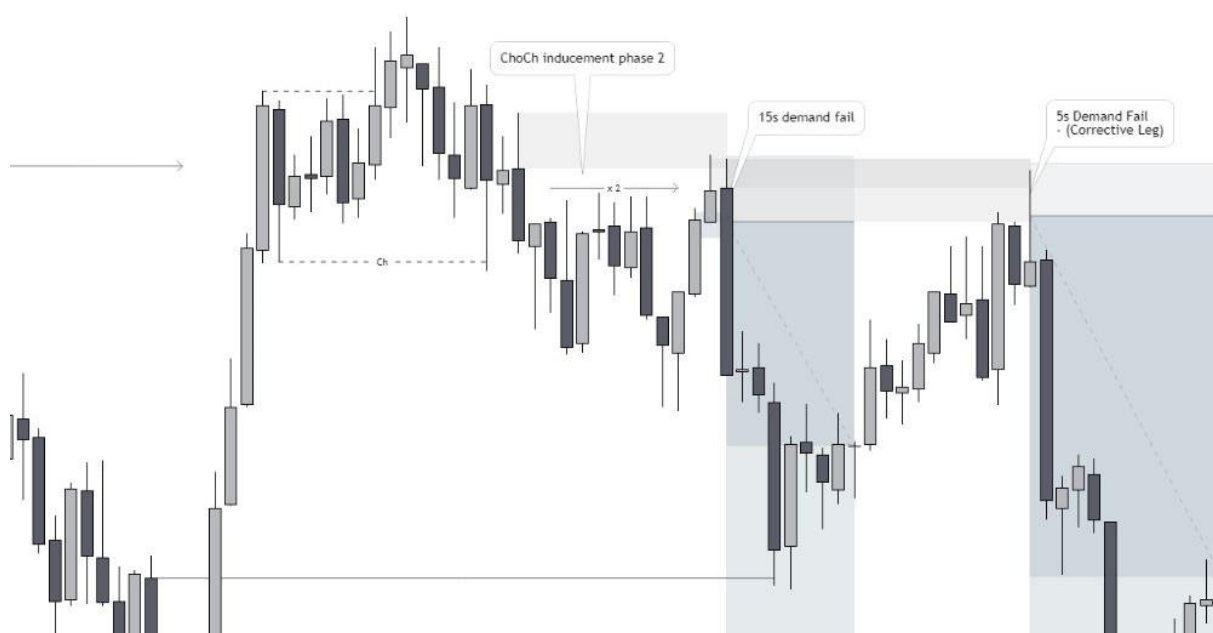
- After the ChoCh forms, it will create its Phase 2 mitigation-inducement under (if selling) and above (if buying) the new valid zone it forms in its respective time frame – when this inducement is swept, we can then look to place our trade; this means that we must wait for a mitigation of a refined zone that the ChoCh forms.

- To trade this, we can play a 5-15s supply/demand fail, or set a limit for the mitigation of this second zone. A corrective leg entry is also possible (as shown below) after grabbing the main leg's weak LPOD/S.

1m Entry needs to show:

- Price needs to mitigate/break the Vector Level that created the Phase 1 sweep.
- A grab into our valid orderblock (the very top/bottom of the ChoCh) which then breaks the Vector Level or mitigates it then creates inducement for a new formed 1m zone
- If this happens, we now have a MSS which makes our ChoCh valid to trade from. We should trade from our new formed zone from where we had the original supply/demand failure (or where it mitigated to). If there is no clear zone, it will sweep the mitigated liquidity then reverse.
- Sweeping this liquidity before the new-formed valid orderblock is our Phase 2 inducement. You can play a limit from the zone or wait for the 5s/15s supply/demand fail after tapping into it.

1m Post Phase 1 Entry Example:



2. Resting Liquidity / Smart Money Trap - 1m Entry – Slightly Aggressive

(Inducement is before and often after tapping the original zone)

With this inducement type, the Phase 2 is not just the SMT / resting liquidity before the refinement, but is the post-tap inducement (similar to a ChoCh inducement), or small-range accumulation that price creates after reacting to this liquidity before hitting our true zone.

What makes this different to a ChoCh inducement is that the market provides less post-tap confirmation after sweeping the reaction of the trap / resting liquidity as it has successfully induced another layer of sellers/buyers.

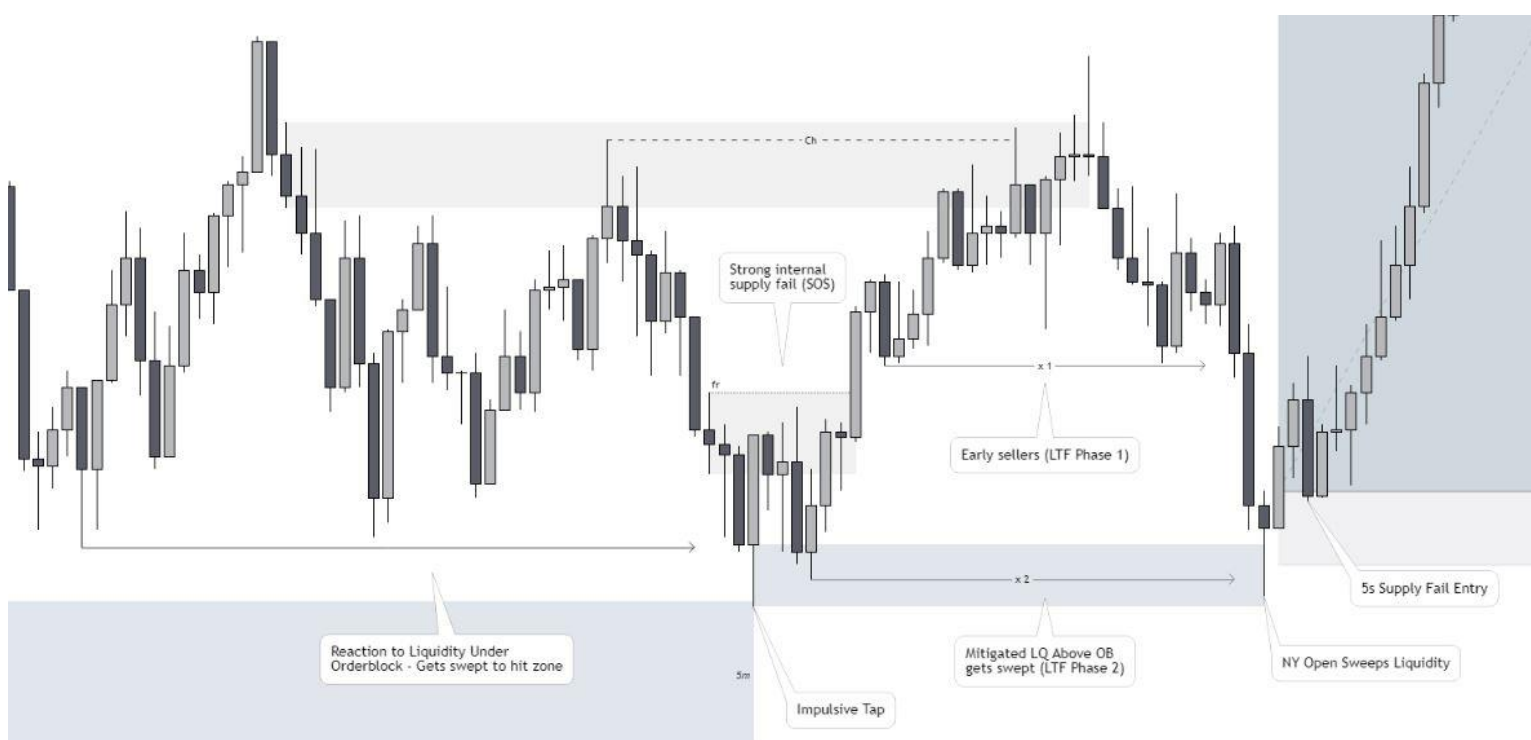
Often, we will see an imbalance detachment from Phase 1 and this resting liquidity / trap. When we react to this liquidity, we have not yet mitigated our high-volume orderblock, so price often tries to reverse but cannot. These misses of the true zone refinement often create an accumulation-like structure (see diagram) which acts as another level of inducement, making our new 1m zone mitigation more aggressive to enter from; in some circumstances there is no post-tap inducement after the manipulation of the small-range accumulation.

- When we react to this liquidity and build a large accumulation before the true zone, we may have no post-tap confirmation and treat is similar to the structure of a Second Miss.
- The resting liquidity / SMT can be seen as a weak mitigation of the orderblock, so traders enter from it thinking it is the correct zone to trade from but become a form of inducement. Traders can also become induced when the SMT zone does not have or build inducement, so price ends up running it.
- As we then tap into the true zone and sweep, we will create a demand/supply fail (failed reaction) – the move should break internal structure and create a zone to play from. Depending on time & price, a limit can be placed.
- Playing the 5s demand/supply fail or a limit trade from this final 1m mitigation is ideal.

1m Entry needs to show:

- A price reaction from the resting liquidity / trap, creating a small-range accumulation to get swept
- The tap into the true zone should break / mitigate our Vector Level then create mitigation-inducement for the final buy zone
- A 5-15s demand/supply fail or limit can be played after tapping the final refined zone

1m Post Phase 1 Entry Example:



3. Second Miss + Two Phase 1's/One Long Phase 1 - 1m Entry - Most Aggressive

(Inducement is before tapping the original zone)

- These setups have the same application as they involve liquidating early high-volume buyers/sellers. This Phase 2 is often used when we are heavily bearish/bullish and encounter a Minor Inducement Pullback level
- When price misses the refined zone after Phase 1's early sellers/buyers, it ends up inducing the refinement again then impulses – these misses compile a lot of orders before hitting the orderblock and getting swept, meaning minimal to no inducement will take place after the orderblock to hit its target.
- The way we can analyse this high intent to buy/sell is through the second miss - we often break internal structure taking out even more early buyers/sellers. We can also see this with two Phase 1's, where we have two lots of mitigation-inducement before creating a rapid impulsive move when we reach the true refined zone.
- This is best seen at London/NY open or at news release during a pro-trend move with little counter impact (pullback).
- Taking limits is a good strategy for this setup, but waiting for a 1m or <1m rapid mitigation can provide a safer entry. Often, there will only be a single opportunity to trade when price taps the refined zone if enough inducement is taken out, otherwise we may have another single mitigation-inducement post-tap.

1m Entry needs to show:

- Impulsive move from hitting the refined zone after two misses. Price will often grab the LPOS/D from this move
- Creation of a zone after an internal failed reaction from sweeping the second miss. This creates the last area to play from unless there is still opposing demand/supply open in the leg.
- The more impulsive the second miss break of structure is, the less confirmation is needed after tapping the refinement
- An entry opportunity #2 may present itself if it reacts from a weak open zone still active in the leg, otherwise price will leave without another opportunity

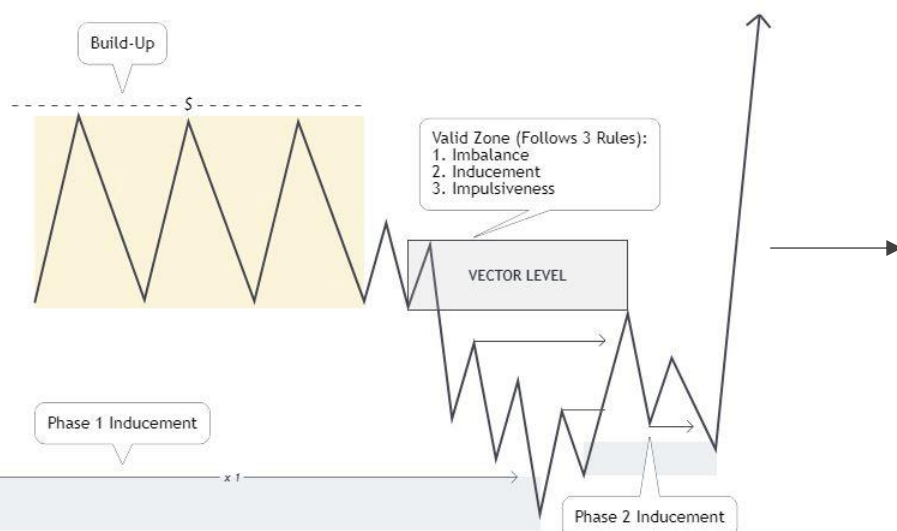
1m Post Phase 1 Entry Example:



What Makes a **Market Structure Shift** Valid? (To Trade Reversals)

To confirm a reversal, we need two things: 2-Phase Inducement and a Market Structure Shift. The way we can decipher the validity of a MSS is dependent on how we react to our Vector Level (which must be reached):

What is our Vector Level?



Our **Vector Level** is a valid zone that is created before we create a push into our orderblock of interest.

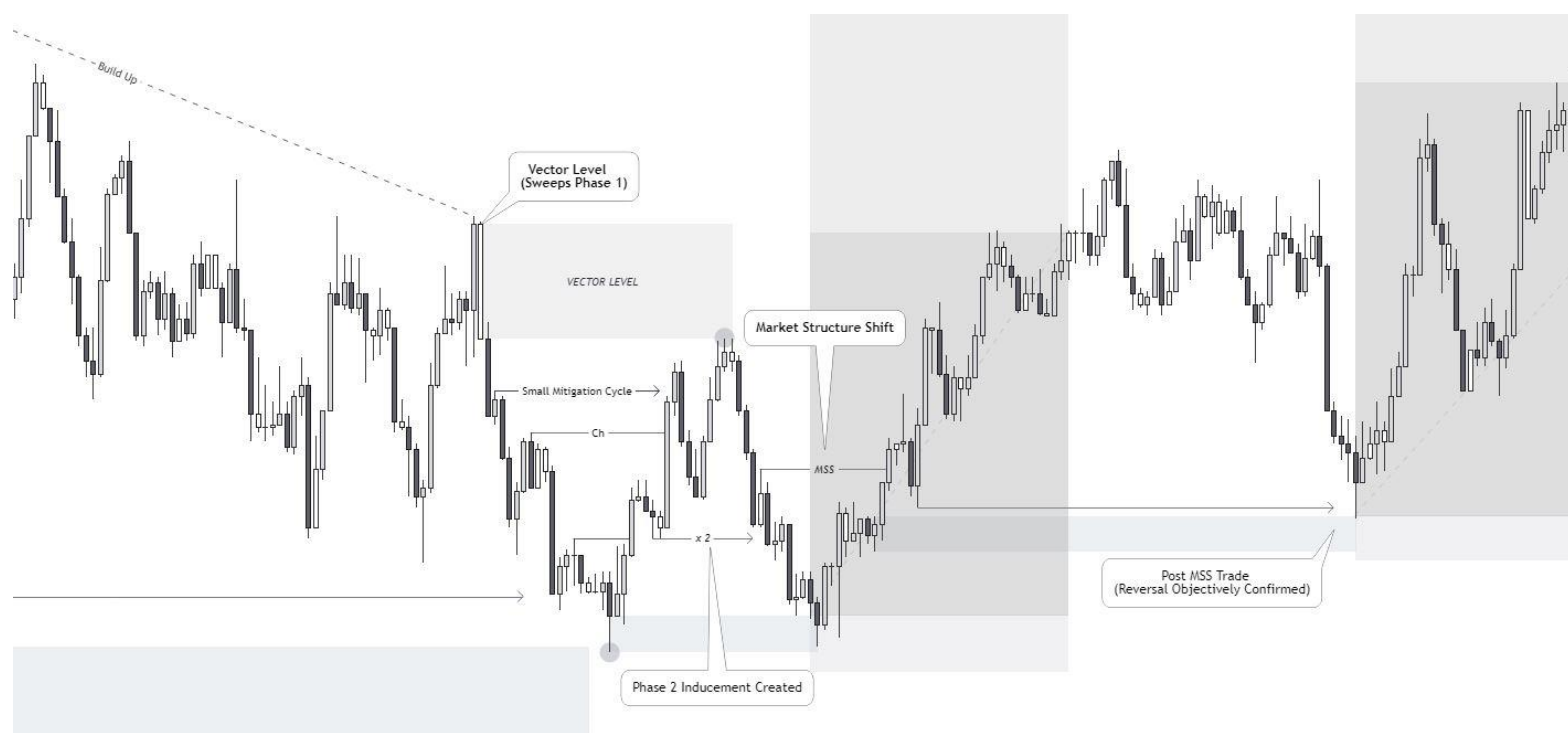
This level follows our 3 valid orderblock rules (importantly imbalance) and is responsible for the sweep of our Phase 1 level, but fails to create a new low (if buying) / high (if selling).

We **MUST** react to this level in some way to objectively confirm our reversal.

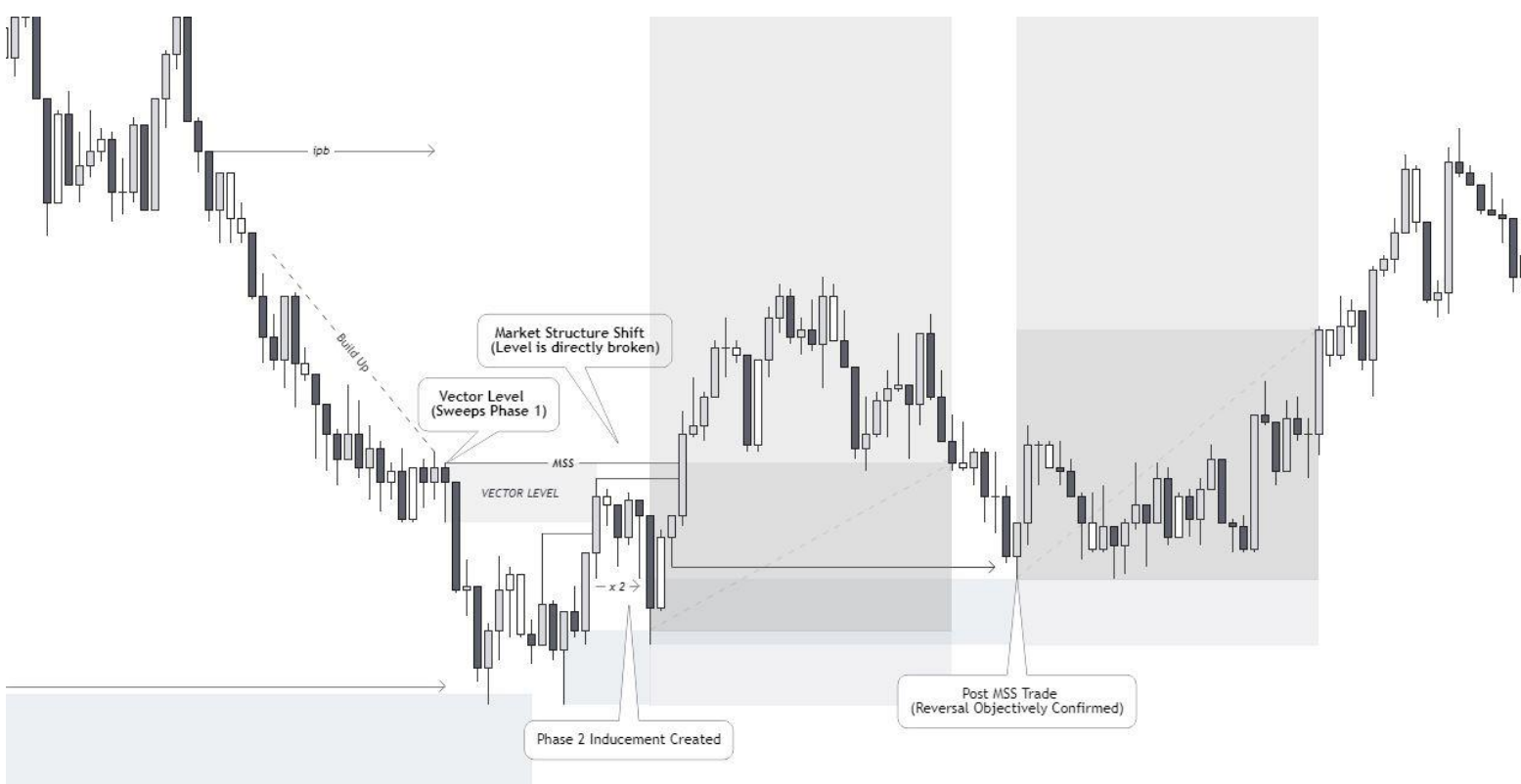
We often have a form of price mitigation after this level forms. We must sweep past this small mitigation cycle (often into the Vector level's imbalance) to transfer the orders from our level to current price.

We can either mitigate this Vector Level down (if buying) / up (if selling), **or** break past it. We then have to create inducement for our reversal with a new-formed zone. *This will confirm our MSS.*

Valid: Mitigation (of the level) + Reversal Inducement:

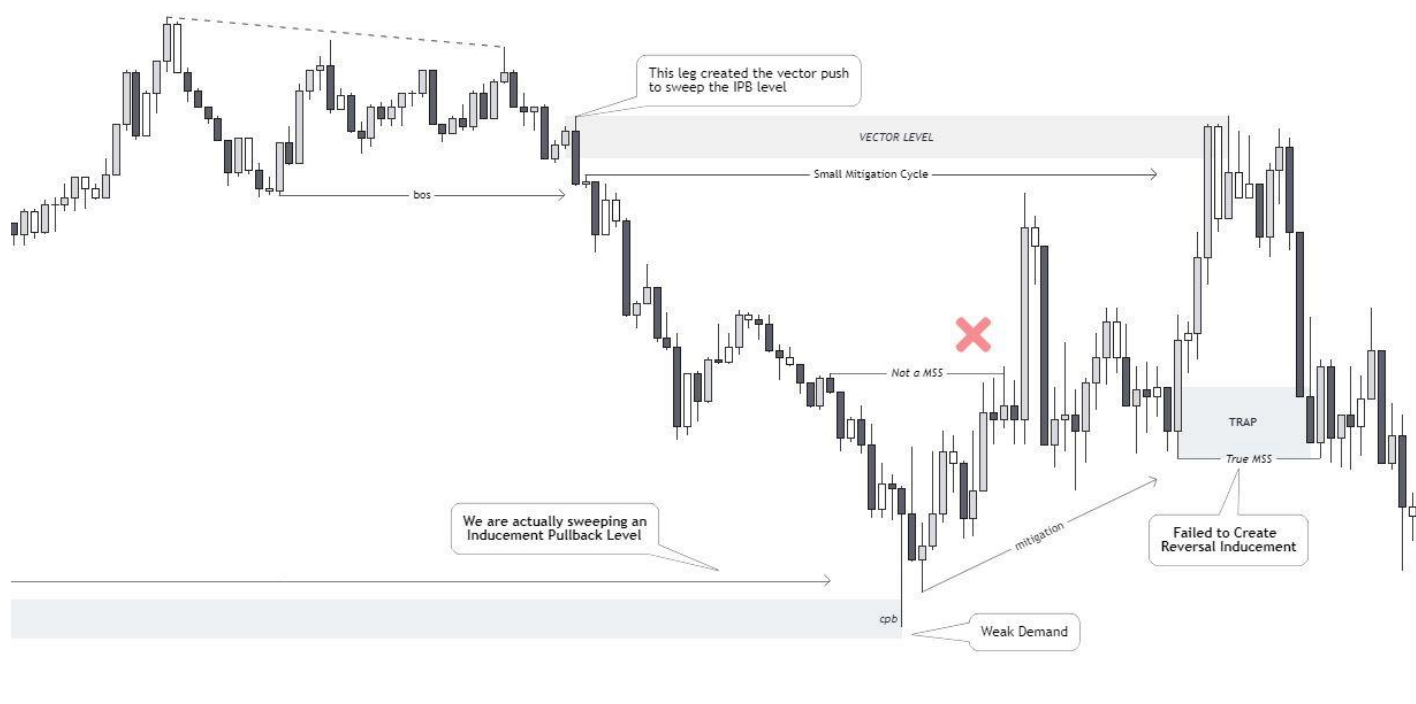


Valid: Break (of the level) + Reversal Inducement:



Invalid: Respect of the Vector Level (Continuation not a Reversal):

There are other factors that contribute to an invalid reversal. These include sweeping an Inducement Pullback Level (IPB) rather than a Phase 1 and reacting to a low-medium order volume zone creating a pullback.



How to Use The Power of 3 (AMD) with the 2-Phase Theorem

MAIN IDEA: Phase 1 – Accumulation Phase is to confirm an orderblock | Phase 2 – The mitigation of the Manipulation Phase (this is known as the Distribution/Expansion)

1. Accumulation Phase:

In this phase, price is encapsulated in a retail-trap range where position build up, creating a box of buy-side and sell-side liquidity. This fractal phase happens above (if buying) and below (if selling) a valid 3-rule orderblock.

If we are buying, we can see the Phase 1 Inducement as the bottom of this boxed accumulation as it is the last point of mitigation-inducement that will get swept before tapping into our orderblock. Vice-versa for selling, as we will see the Phase 1 Inducement at the top of this boxed accumulation.

2. Manipulation Phase:

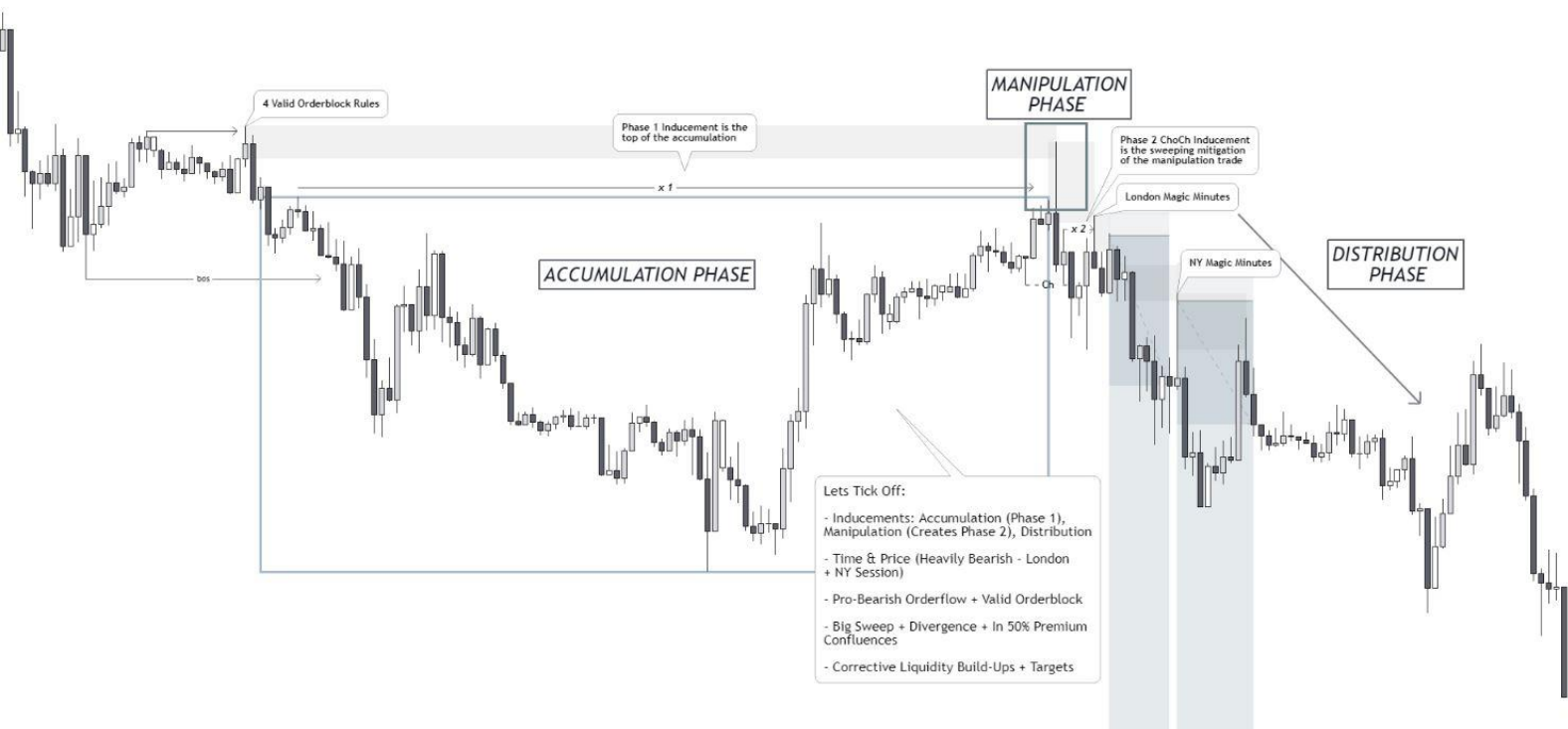
This phase is the sweep of the engineered accumulation liquidity (Phase 1), into our valid orderblock. We quickly enter then exit into our orderblock to take the orders then reverse. Our manipulation is confirmed if we break the level that broke past the Phase 1 sweep, creating our market structure shift.

At this point, we can start looking to trade from the mitigation of the manipulation phase (with Second Miss & Two Phase 1's as the exceptions). Between this mitigation, we can find the Phase 2 Inducement entry. Its volatility will be dependent on the Phase 2 entry type. Below, we have a ChoCh inducement lining up with Time & Price, making it a perfectly structured London trade.

3. Distribution/Expansion:

The distribution phase is the downwards continuation after the manipulation. When buying, this can be seen as an expansion to the upside from the manipulation move, often followed by a distribution after the push up. At this point, trade continuations can be taken towards the next active valid orderblock within the premium/discount.

When selling, the distribution phase starts when price successfully mitigates the manipulation phase. We can often take sells from the new formed orderblock after a Phase 2. The same concept goes for buying – after our manipulation, we have our expansion.



Phase 1 Reversal vs Inducement Pullback Continuation (Validate Inducement Levels)

To validate either a pullback (then a pro-trend continuation) or a Phase 1 Inducement (for a reversal trade), we can follow the following system to take advantage of understanding market intentions and where the manipulation is:

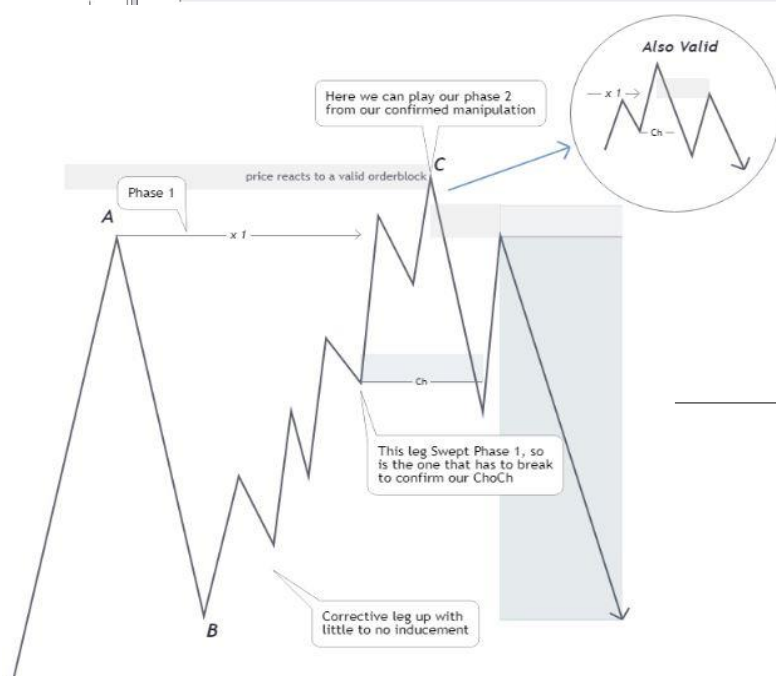
Phase 1 Validation: When we have a Phase 1, we are collecting mitigated liquidity from the left to validate our manipulation (price's quick reversal after sweeping Phase 1). We can then trade from the mitigation of the manipulation towards our target as we have a clear shift in market structure. *Note - Phase 1 doesn't have to be the high/low of a leg; it can be under/above a valid orderblock ('A' can be respected if valid).*

To trade from our Phase 1, we need our Phase 2 inducement. The way we spot whether we have a valid Phase 1 manipulation is by:

- Breaking the demand/supply of the leg that created the Phase 1 Sweep to then play our Phase 2 from the manipulation (unless our Phase 2 is before the tap-in).
- Price needs to react to a medium/strong order volume zone, rather than a weak pullback zone.
- Price must enter a 3-rule orderblock from the manipulation level to reverse after the Phase 1 sweep.
- This 'B' leg should use corrective price action so it can liquidate it without a large pullback from an open unmitigated zone.
- Most often, our first TP is the end of the B leg as it does not have any clear zone imbalance.

Entry: We only want to enter from our manipulation zone which is the price above (if selling) and below (if buying) the Phase 1 Sweep. We can play from the MSS (Market Structure Shift) mitigation.

Phase 1 Reversal:



If we can break the last leg that initiates the Phase 1 sweep level, it validates our market structure shift, confirming our manipulation which is what we want to trade from as a reversal. Objectively, price will run the opposing already-mitigated level.

Often reversals create larger moves than Inducement Pullback Continuations.

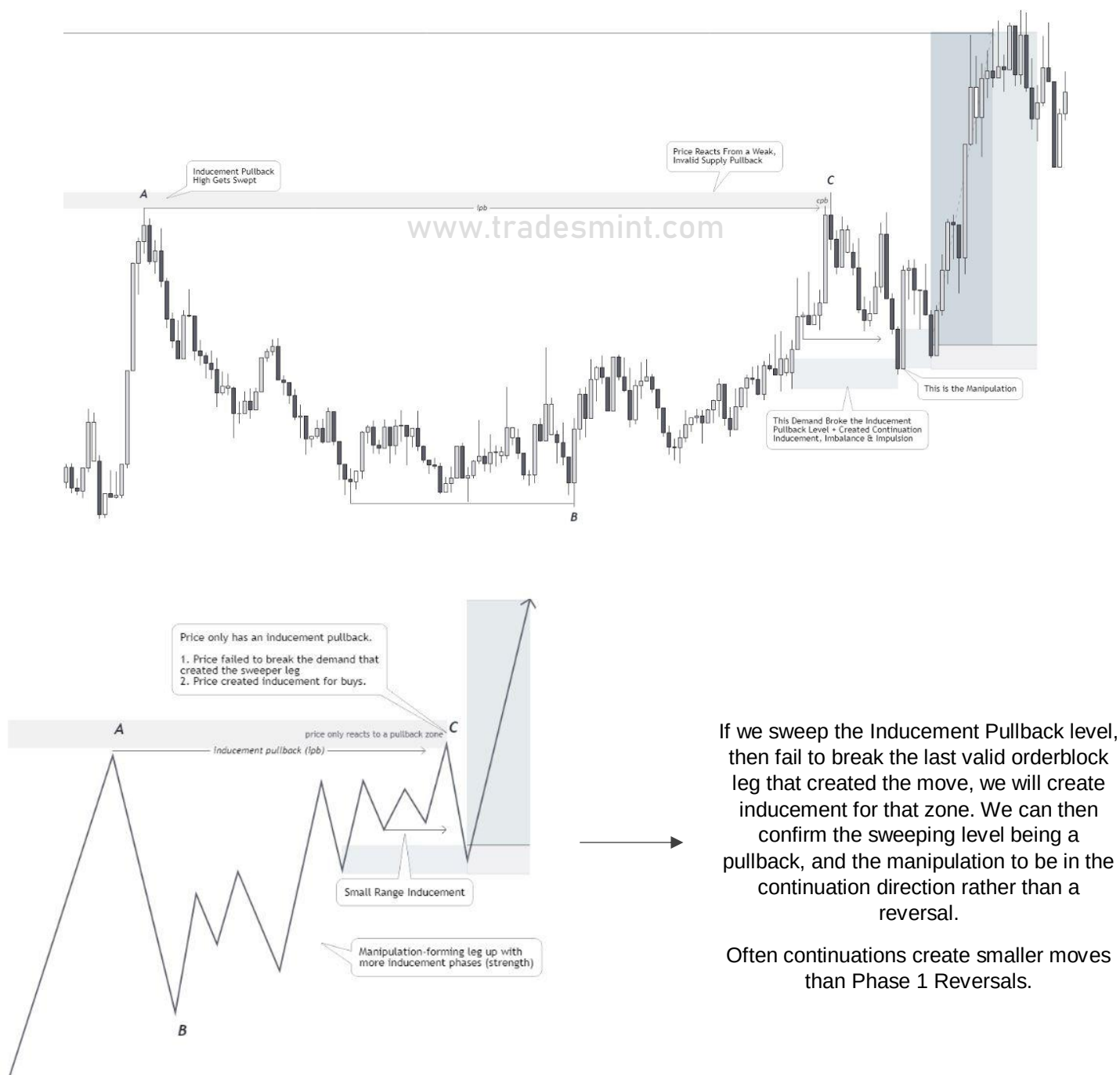
Inducement Pullback Validation: To trade from our Inducement Pullback (IPB) - price sweeps an inducement level but continues in its trend direction - we need to form pro-trend continuation inducement (which is before pullback level) to be swept for price to continue to our target – as we know, after we have our two phases, we can keep playing single small-range inducements until reaching our counter Phase 1 reversal. An Inducement Pullback can also be seen as a BoS (break of structure) as they have the same function.

The way we spot whether we have a valid Inducement Pullback is by:

- Creating a valid orderblock zone with small-range inducement underneath (if buying) and on-top (if selling) of the Inducement Pullback line. We will fail to break this zone and use it for our pro-trend continuation after the Inducement Pullback.
- The pullback reacts from a weaker zone that holds small-medium volume orders and is unable to create a reversal.
- Before sweeping the IPB, the B leg should create structural manipulation (small-range sweeps) rather than an already-mitigated corrective leg while the C leg becomes a reversal trap.
- Most often, our TP is until the next imbalance zone (end of our opposing Phase 1 Inducement).

Entry: We can play from the zone that created the sweep of the Inducement Pullback level. This zone must create inducement and follow the 3 orderblock rules.

Inducement Pullback Continuation:



Step-by-Step Entry Processes

Reversals & Continuation Trade Checklist

We need to shift our view of trading into an objective step-by-step process like an algorithm. We need to simplify our view of the trading market into 3 cycles: **liquidity build-up** (where we don't trade), **reversals** & **continuations**.

How to trade a **reversal** (2-Phase Theorem):

1. Utilise the 8-Step Markup Process and the HTF/Daily Bias to establish overall control and purpose

2. Draw out valid 5/15m+ zones:

Join the order-flow of high-volume money injected into the market that will influence current price movement, and draw the location of internal breaks that created the valid zones. Also include the active opposing zones from our point of interest and their inducement levels that price will encounter.

- we can find these valid zones using our Daily Cycle strategy (Momentum + Asia Manipulation)

- we want to mark out our zone mitigation-inducement levels as "undetermined" (with an 'x') as we cannot yet classify them as a potential Phase 1 or an Inducement Pullback (IPB)

- if we are trading from a 15m+ zone, we need to wait for more sweep + mitigation cycles until we have a <15m zone to be able to take our 1m trade. (Follow the fractal timeframe concept, e.g., 4h - 15m, 1h - 5m etc).

3. Before we tap into our zone, we need to ensure our orderblock of interest will carry enough orders to reach our target/s when we have a valid mitigation. This means we should be using strong high-volume zones and stay away from weaker pullback zones for our 2-Phase reversals. Remember, inducement fuels a large move.

We want to see a build-up before price creates vectors (fast & impulsive candles) that push past our main zone's inducement level. Our build-up is our last area of liquidity tightening within our Phase 1 before the push to sweep the Phase 1 inducement level. These vector candles create room for reversal strength to push through as they utilise weak structural price action for the purpose of manipulating the early traders (Phase 1 level) before tapping into our valid zone.

4. Utilise important confluences:

- Wait for our premium/discount 50% (rebalancing) from the main 15m+ leg we are using to trade from (swing high & low) and for the post-tap of the valid orderblock leg that is created
- Protected & Targeted Highs/Lows – did the high/low fail or succeed in breaking structure? (often act as good inducement levels)
- Time & Price
- Mitigation – we want to follow where price is taking the orders to
- Corrective Legs & LPOD/LPOS
- Smart Money Traps + Invalid ChoCh's

5. Post-tap step-by-step entry confirmation:

- **We enter from the 1m:** The first thing we need is a **Market Structure Shift (MSS)** to confirm our reversal after the 5/15m orderblock mitigation. *There are rules for a MSS to be valid (page 33-34):*

When vector candles create a push past the Phase 1 into the orderblock of interest, we create a Vector Level with imbalance. We **MUST** reach and mitigate the Vector Level, or break it, then create reversal inducement. If we mitigate it then create Phase 2 ChoCh inducement, the structural shift also becomes valid.

- Based on our Phase 2 entry setups, we can decipher what the price action will look like post-tap, and the volatility it provides based on the liquidity taken
- We need the 2-Phase Theorem to confirm our reversal before we can take single-sweep continuation trades (IPB) to our opposing valid reversal zone

After mitigating/breaking the Vector Level, we need to see price form reversal inducement for the new post-tap orderblock that mitigated the valid 5/15m zone – this inducement will be our Phase 2 (except for Two Phase 1's/Long Phase 1 & Second Miss) and will confirm our reversal.

If we tap into this new zone, we will have confirmed our 2-Phase reversal and price will rally.

- **First Trade/s:** We can play a limit from this Phase 2 valid zone or wait for a 15s demand/supply failure buy/sell stop.

For confirmational continuations after our reversal, we want to see inducement being created for our current high-volume zones after sweeping IPB levels – this may not be an option if there is no unmitigated LPOS/D pullback after the MSS. We can trade these continuations until we reach our opposing reversal zone (and follow our IPB rules)

- **Second Trade/s:** We can play a limit from our continuation zones after a single sweep or wait for a 15s demand/supply failure buy/sell stop.

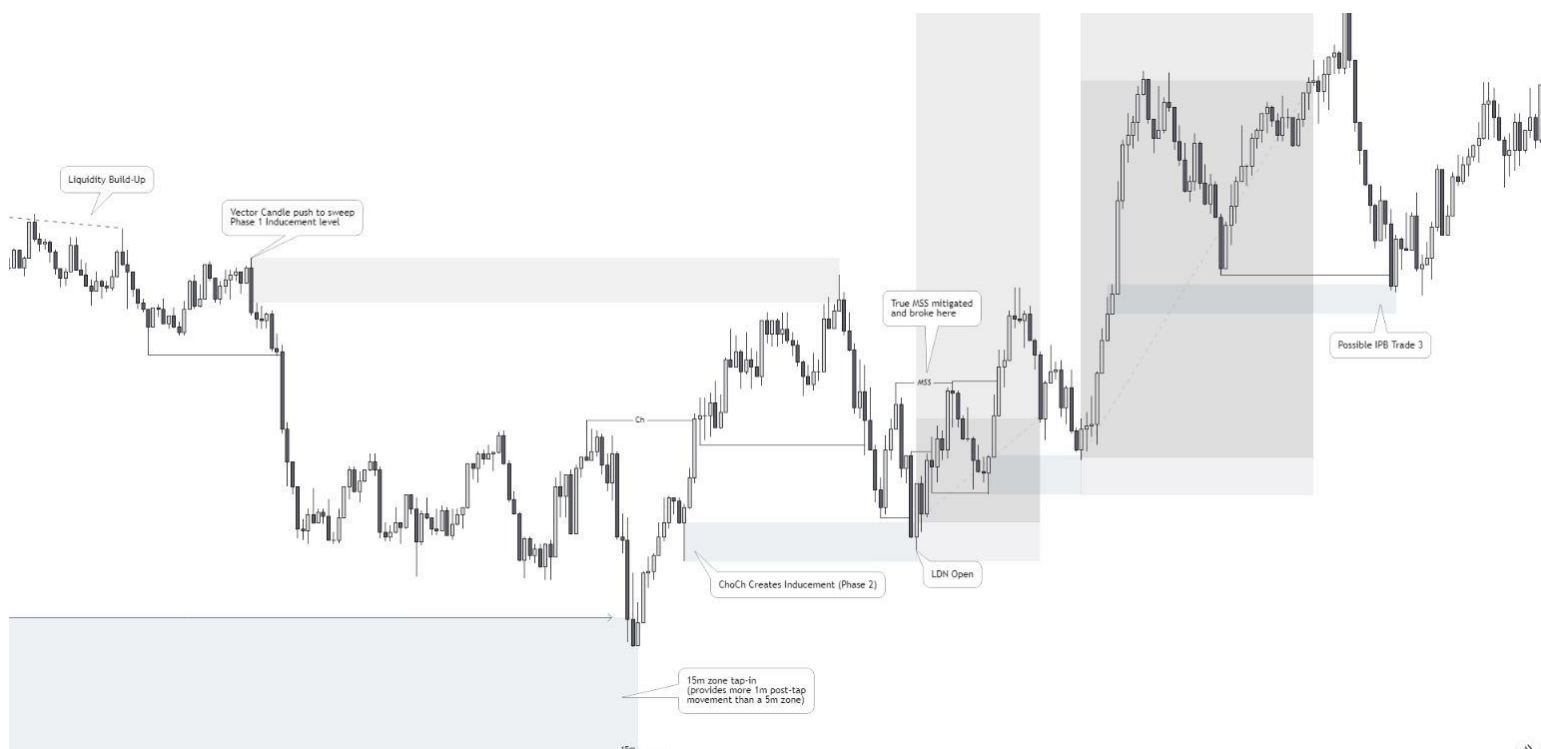
6. Stop-loss placement:

Our stop-loss is safest at the end of our confirmed manipulation sweeps; we can move these throughout the reversal to secure profits with our trade/s as long as we are efficiently mitigating the high-volume orders with our pullback continuations (see how to trade IPB continuations below).

Tips:

- Price will often reverse (for either a pullback or an actual reversal) after it sweeps the last level of price that is before the imbalance within a valid zone – we can see this best if we sweep into an imbalance orderblock (big V-SR range with no clear zone)
- For a zone to at least be a pullback, it has to create cause, such as internal demand/supply breaks/fails before it pushed price
- In a way, inducement belongs to zones. When price pushes into imbalance after the weak mitigation leg that creates that sweep of our Phase 1, it is taking the opposing inducement away from the next opposing zone. If we create reversal inducement (Phase 2) after that sweep, that confirms our manipulation.
- We can draw horizontal lines to signify the point of demand/supply failure for active zones including those that are opposing so we can either play a reversal or continuation. The point of failure is where the injection of orders come into the market in which price will react from.

2-Phase Reversal Trade Example:



How to trade a **continuation** (Inducement Pullback):

1. Utilise the 8-Step Markup Process and the HTF/Daily Bias to establish overall control and purpose
2. The main idea is that after we have a reversal (2-Phase), we can then trade IPB's (inducement pullbacks) until reaching our target zone in which we will have an opposing reversal. **We must have the 2-Phase reversal before trading IPB's.**

Important factors:

- We should only trade IPB's if the high-volume orders from the reversal are mitigated efficiently to current price, or when price encounters a very weak pullback zone (such as reacting from imbalance or reacting from a high/low that is weak/targeted) then creates inducement for a new continuation zone.
- We can trade IPB with single sweeps. We do not need 2 inducement phases unless we are trading a HTF (1hr+) IPB as price will give us lower time-frame confirmations.
- We want to mark out our zone mitigation-inducement levels as "undetermined" (with an 'x') as we cannot yet classify them as a potential Phase 1 or an Inducement Pullback (IPB)

3. Draw out valid 5/15m+ opposing zones after our 2-Phase reversal: these zones don't have to have high-volume orders but should follow our valid rules as we want to see pullbacks from them after our IPB level sweep. We also want to mark the targets in which we will have possible reversals from as this will be the end of our buying/selling continuation cycle.

What do pullback zones look like?

- Low-medium order volume zones that are valid
- Smart money traps/fake orderblocks
- Active supply/demand levels from weak/targeted lows/highs

4. Utilise important confluences:

- Don't overrefine pullback zones – as long as they are marked valid
- Utilising the 50% premium & discount is essential. Once price passes the 50% of the higher timeframe leg it is trading within, we cannot trade anymore pro-trend continuations
- If a zone breaks internal structure (cause) and follows the 3 valid rules, it is considered active.
- If we are trading an IPB from the 15m+, we can often play a lower time frame 2-Phase reversal within this movement as we will have more lower time frame confirmations.

5. Post-IPB sweep step-by-step entry confirmation:

- When we encounter an 'undetermined' inducement level, we need to wait to see what price does as it sweeps past it to confirm it being an IPB level.
- The zone that pushed price past the inducement level must: create inducement for continuations, carry high-volume orders, and must follow the **3 valid orderblock rules**; imbalance tells us that there is a detachment from the order-flow, inducement is that manipulative building of the detached orders to then be swept, and impulsiveness tells us that the valid zone created a large push utilising the reversal order mitigation.
- If we create this valid zone before sweeping the 'undetermined' inducement level and we react from a pullback zone mentioned above, we can then confirm our level as an Inducement Pullback.

We want to enter from the 1m:

- If our new-formed inducement pullback zone is 5m+, we can utilise a 1m 2-Phase reversal within this created range, but it is important to note that price is extra bullish/bearish, so less inducement is needed to be taken making it is easier to miss a trade this way.
- If our new-formed inducement pullback zone is <5m, we can take a limit trade directly from the zone.

6. Stop-loss placement:

Our stop-loss is safest at the end of our confirmed manipulation sweeps; we can move these throughout the reversal to secure profits with our trade/s as long as we are efficiently mitigating the high-volume orders with our pullback continuations.

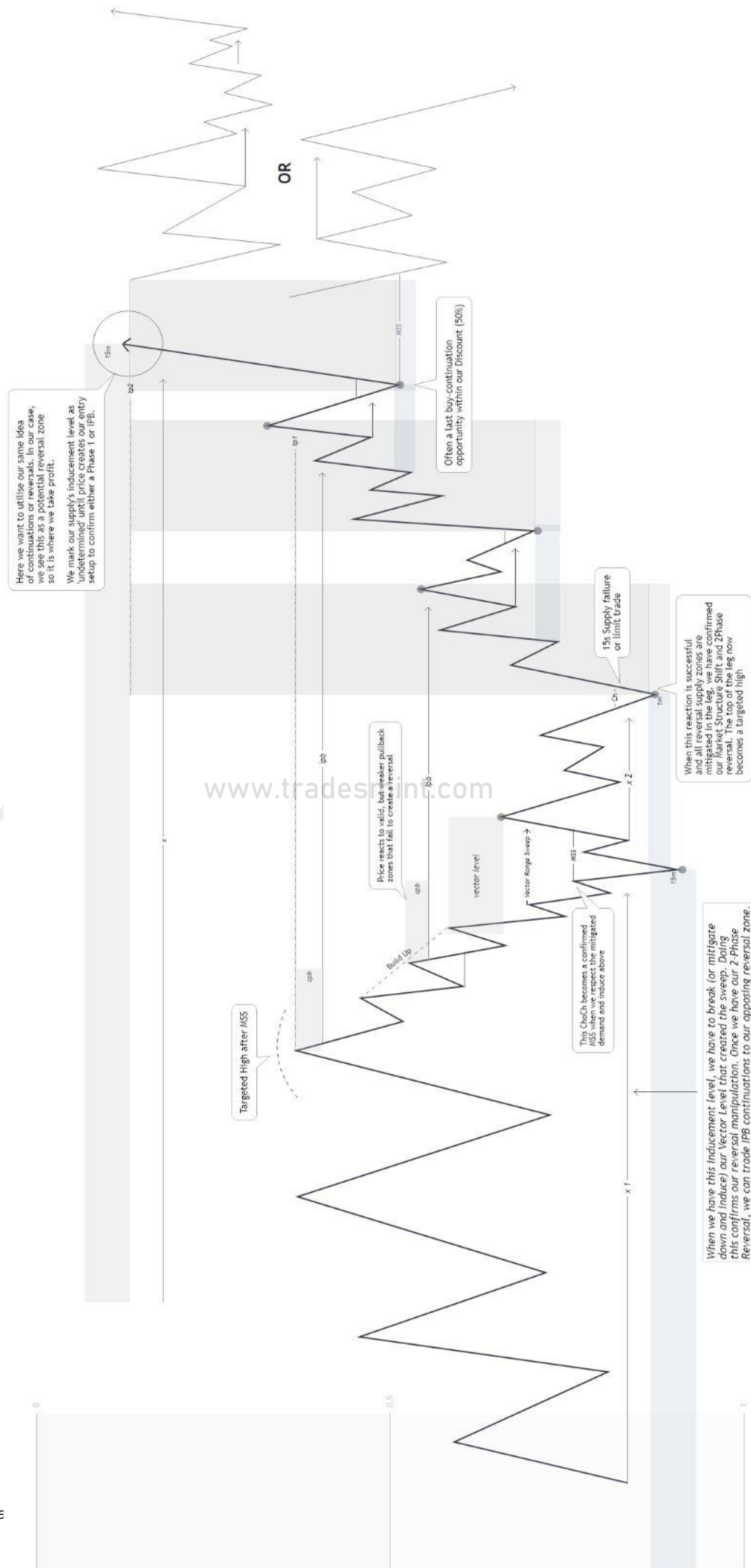
Tips:

- If there is an imbalance detachment from the high-volume orders, then another leg forms that sweeps the IPB level, but we don't create inducement for it, wait until we rebalance price to our high-volume zone to trade the continuation.
- Draw the location of internal breaks that created the valid zones.
- We can find valid zones using our Daily Cycle strategy (Momentum + Asia Manipulation)
- If we are trading from a 15m+ zone, we need to wait for more sweep + mitigation cycles until we have a zone <15m to be able to take our 1m trade.

IPB Continuation Trade Examples:



Utilising a reversal & continuations together (Buy Example):



Key Trading Movements & Concepts:

1. Corrective Leg

What is it?

A corrective leg is when price has a final move before a rally by mitigating the last point of demand or supply (LPOD/S). This demand/supply it reacts from is often just a pullback that won't break structure, but it creates a trade opportunity as it mitigates one final time before there is no other opportunity.

The LPOD/S is the last open zone in which price can react from within a leg of any timeframe. If this fails to become a continuation and make new highs/lows, it will make the end of the leg a targeted low/high.

How to use it?

A corrective leg can be produced when a zone is already mitigated, but price reacts from it again as it holds another clean looking orderblock, or when there is a clear zone with imbalance that doesn't hold much order volume. This gives institutions another opportunity to induce traders as we are taking out all possible demand (if selling) and supply (if buying) out of the market to target Phase 1 inducement without any major pullbacks.

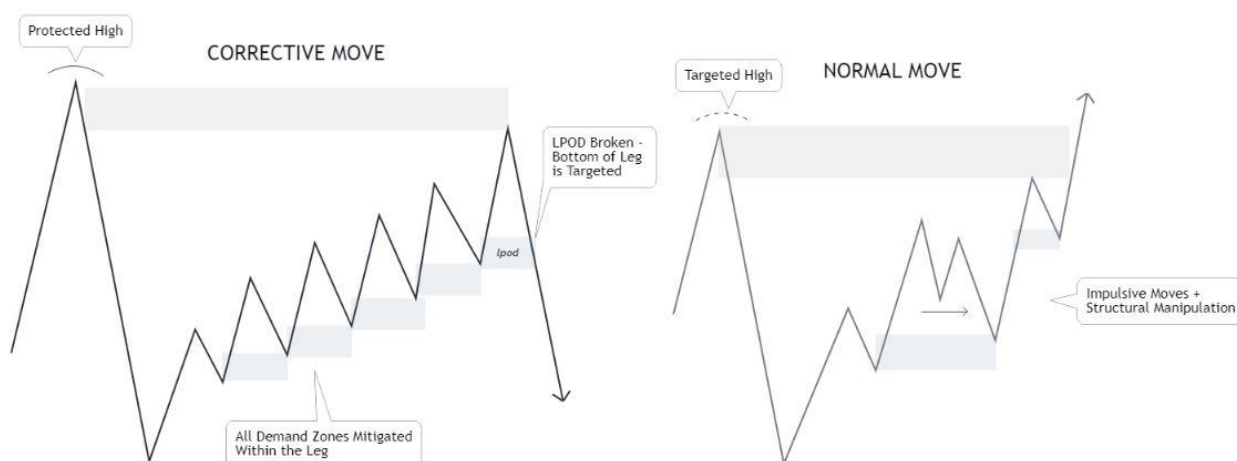
If price is all mitigated (the LPOD/S is taken out) to a point, price will run all that mitigation – this is the Phase 1 inducement. That is why a corrective leg is the last (and safest) trade opportunity – it is the final pullback move before all the mitigation-inducement will be taken out.

Technical:

In a corrective leg, we only need to see a 15/5s fail after a single Phase 1 inducement. No Phase 2 is needed as there is no more inducement needed for these movements due to having no demand (if selling) or supply (if buying) left in the mitigation-chain.



Corrective Leg Structure (Weakness) Vs Normal Leg Structure (Strength):



2. Premium & Discount

What is it?

Premium and discount is a basic principle that can be used when purchasing something on the market from securities, consumer-goods, and forex. The main idea is that the pricing of the market balances out before creating its continuation.

This concept involves marking the equilibrium of a large price leg, and dividing it in its two parts to be purchased at either a premium (over the fair value of the thing you're buying) or at a discount (buying something that is on sale).

How to use it?

Rather than being a trading confluence, this idea should be used to sit on your hands and wait till price enters the side of interest to trade from – discount we look for buys, and premium we look for sells. Once price has entered our side – like below where we enter the discount region of the 4H leg – we can then look for continuation buys until we break the weak high.

This is a fractal concept and can also be applied at low timeframes.

Diagram Explanation:

Below, we can see that we entered the discount region and reversed straight away, telling us that the market has balanced out and entered the discount so buys become valid.

We can also see that buyers in the premium zone became liquidated as they failed to trade from the discount.



3. V-SR (V-Shaped Recovery)

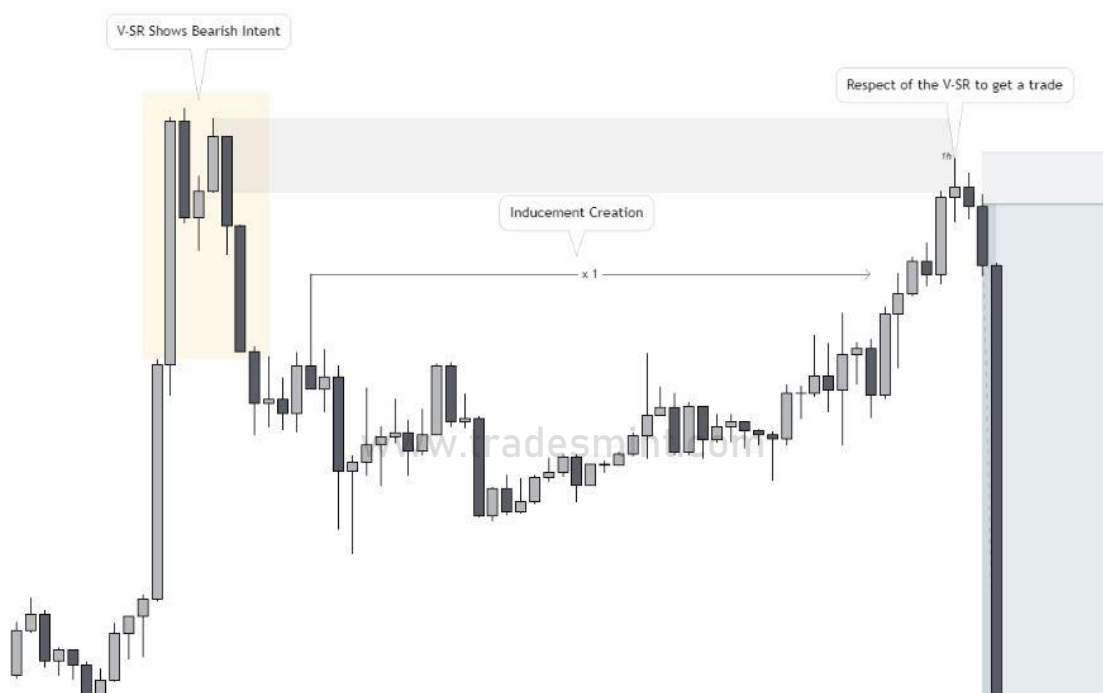
What is it?

A V-SR is a 'V-Shaped Recovery'. It tells us that price quickly enters and exists a certain point in the market. Often, this is due to institutions rapidly sweeping then mitigating a high-volume order zone. These can be labelled as IFC's as they are purposely created to take out inducement (early sellers/buyers). They are often used at the start of reversals, or to quickly mitigate/sweep a zone during high volatility times.

How to use it?

A V-SR can be used to understand what Institutions are trying to do, and to take advantage of it. If it is created as a sign of strength (high intent) in the market for sellers or buyers, it can be used like an imbalance orderblock. In this case, wait for inducement to be created above/below it, then play the respect of it if it creates a zone.

These can be seen as a normal candlestick on a higher timeframe.



4. Evil Candle

What is it?

An evil candle is the first candle that misses high-volume order zones and then mitigates, creating a chain of engineered liquidity. This is another way of defining the top/bottom of Phase 1 inducement. We mark these with a circle.

How to use it?

Mark out the mitigated liquidity that the Evil Candle created, and ensure you don't trade it. Wait till it gets swept; this will be your Phase 1 inducement. Being able to spot these candles ensures you are not going to be liquidated by trading from an inducement level.

Technical:

With the use of imbalance, we can find these candles. Find a HTF range in which gets broken then rallies, leaving behind imbalance.

The last, properly mitigated zone should be marked as active and valid, but the extreme candle that created mitigation-inducement just short of the valid zone is the evil candle. Wait till price breaks this, then look for Phase 2 to create a trade.



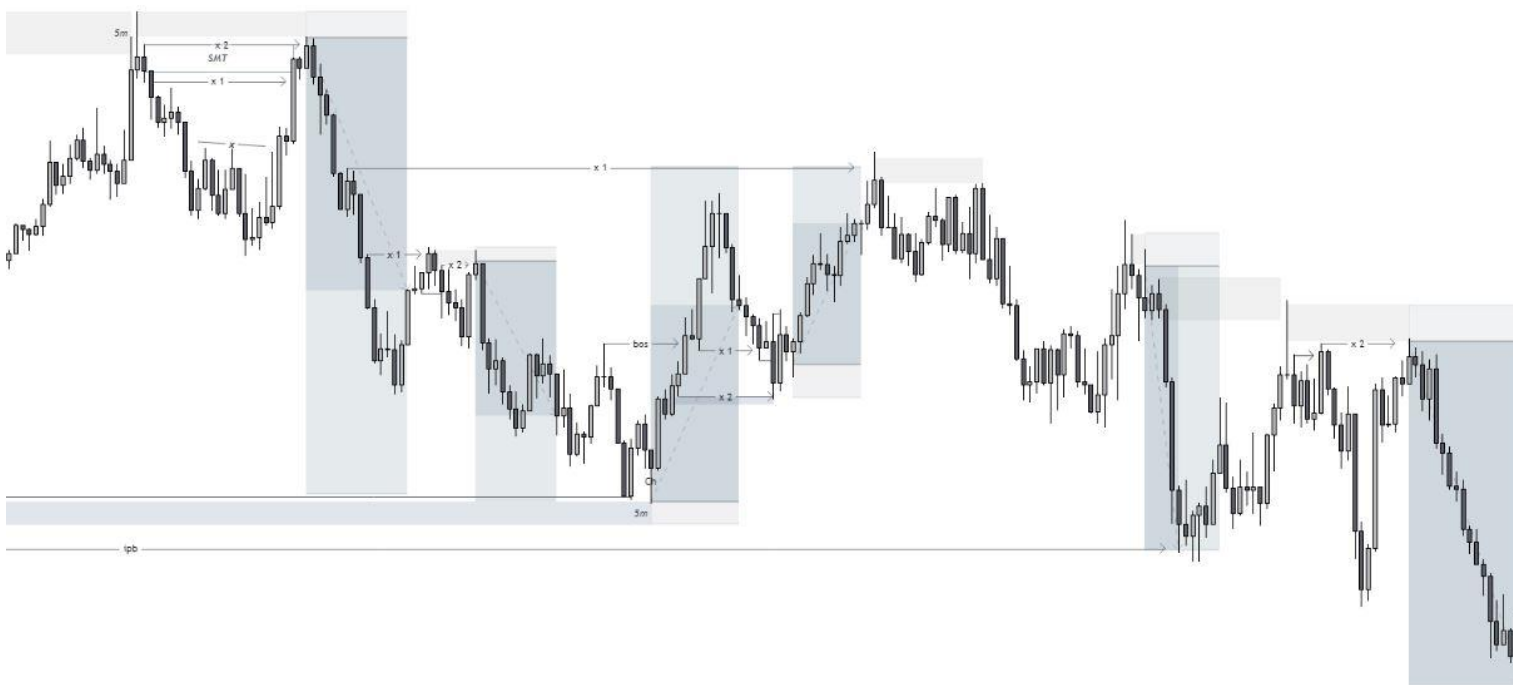
5. Ping-Pong Ranging

What is it?

A Ping-Pong range allows you to trade buys and sells within a large, higher time-frame leg. There is no heavy bias on bulls or bears at this time as we are trading within a range, so if played correctly, you can make some successful sells and buys while price is within its range.

How to use it?

- Wait for the 2-Phase inducement theorem before each reversal point. We can then trade its Inducement Pullback continuations until finding another reversal point and repeating the process.
- Use the HTF to understand the overall directional bias
- Take profits points can be at the opposing Phase 1 inducements (evil candles)



6. Divergence

What is it?

Divergence is a confluence in which the indicator (such as an oscillator) and the currency pair are moving in opposite directions. The implication is that the price is losing momentum and is likely to reverse soon.

How to use it?

This concept should only be used as a confluence. It can show the overbought/sold manipulation of the market to hit a deeper zone and liquidate traders, but there are many more factors that are needed to confirm the move and should only be used in a HTF pro-trend scenario.

Technical:

We can see below that whilst the indicator is trading in one direction, the actual price action is moving the other way. Using our overall strategy, we can use this to confirm an over/under-priced manipulation move.

Standard Bearish Divergence



Standard Bullish Divergence



7. Small Sweep vs Big Sweep

What is it?

A small sweep tells us that price is looking to reverse, but only for a short duration of time, and will become liquidated much faster than a large sweep. Sometimes these can look like equal highs/lows when we zoom out, becoming targeted rather than playable zones.

A big sweep is when price is looking to reverse with force. This is often seen on the 4h, daily or weekly as a big wick liquidating highs/lows and breaking structure in the other direction. This makes these movements protected highs/lows, and tradable in the reversing direction after the sweep.

How to use it?

- Mark out small sweeps as potential liquidity targets in the near future
- Mark out big sweeps as protected highs/lows that mitigate 4h/daily/weekly zones and sweep



8. Invalid ChoCh / Smart Money Traps

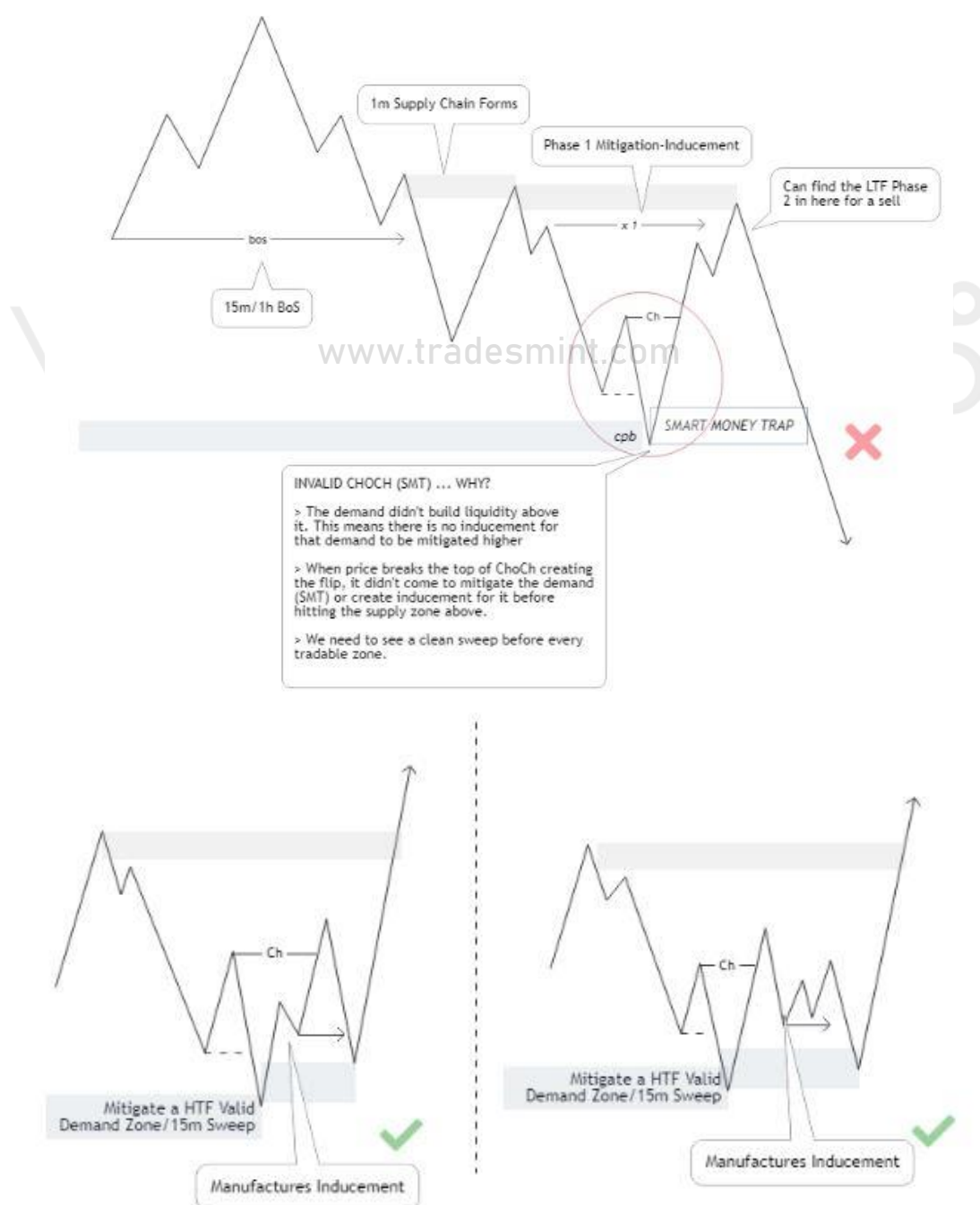
What is it?

An invalid ChoCh (SMT) is a way the market induces smart money traders. Below we can see a supply chain continuation, then a ChoCh. The first diagram shows a SMT – this is due to the fact that we came up and tapped into the valid supply zone first before coming back into our ChoCh to create inducement.

The second diagrams show a valid ChoCh. This is because we came and broke the ChoCh high, then came back down to manufacture/react then break our demand zone's inducement.

How to use it?

- Mark out pullback zones to the left – these will likely create SMT's rather than valid ChoCh's due to just being short term pullbacks.
- Mark out valid orderblocks to the left – these will likely create valid ChoCh's rather than SMT's due to being strong reversal zones
- Analyse whether the ChoCh reaction is creating inducement. If not, it has no intention to break the supply/protected highs – same idea for demand chain control.



PT/CT Entry Setups – Putting it All Together:

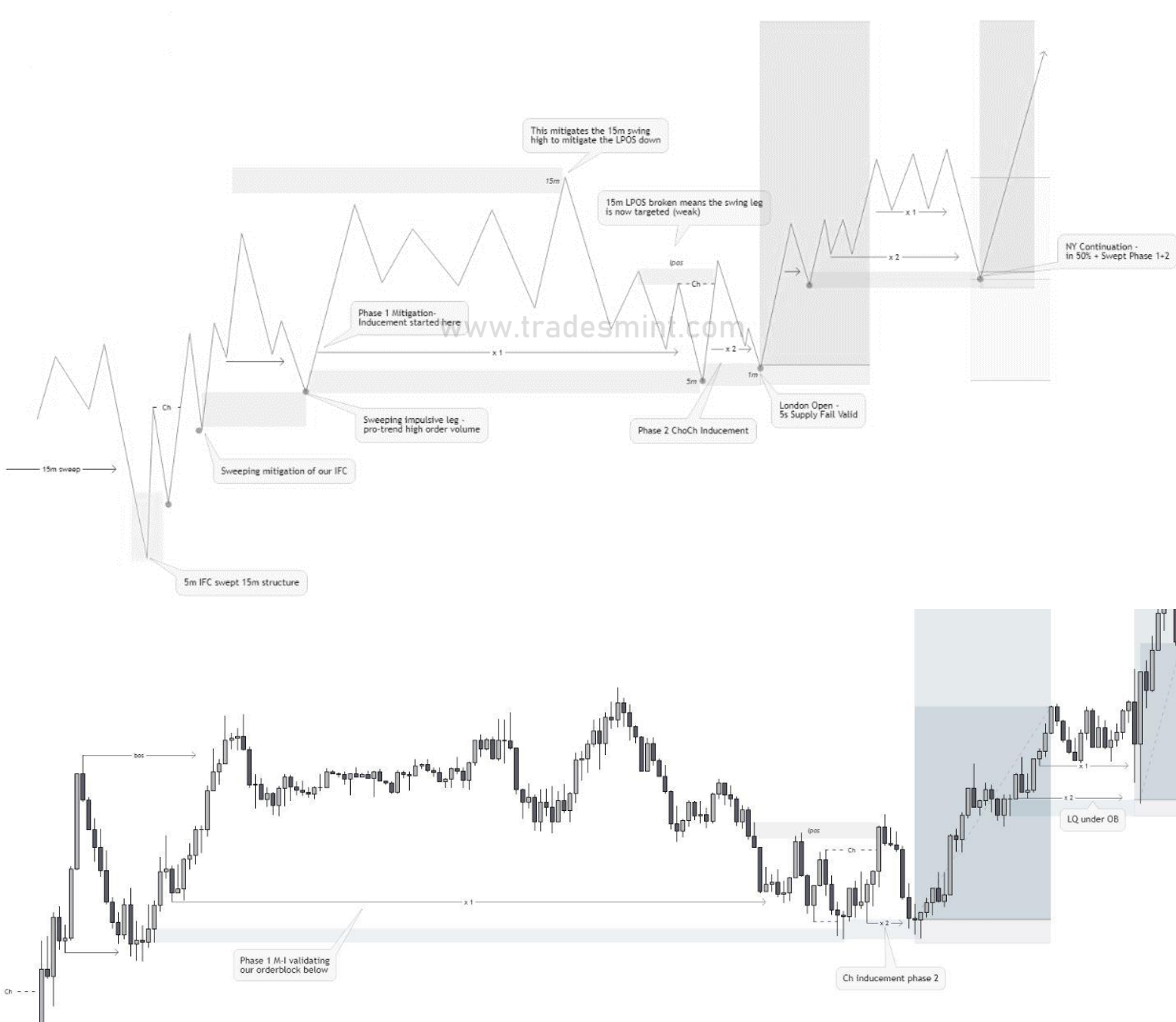
Pro-Trend Mitigation

Scenario: Price is moving pro-trend and has a large impulsive move, leaving behind a clear orderblock with inducement and imbalance. We want to wait for price to return to this leg where the money is to play the 2-Phase inducement by following EOF with momentum on our side. The trend is based on 15m movement

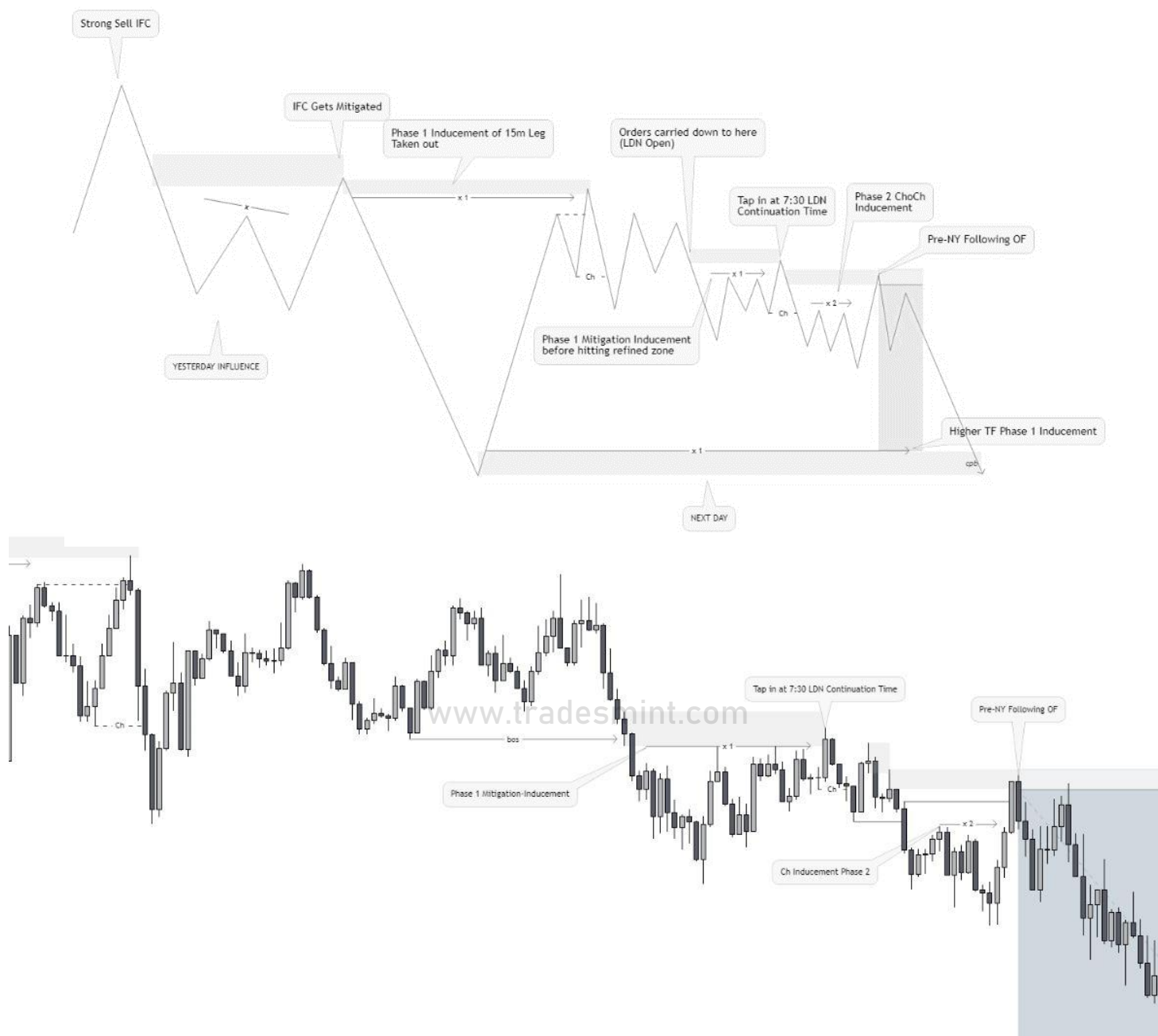
Post Trade Stop-loss: Stop-loss placed after 1m BoS after entering

Time Stamps: 4h – 1h – 15m – 5m/1m – 1m/15s – 5s fail

15/5m Bullish PT Clean Setup:



15/5m Bearish PT Clean Setup:



Pro-trend Entry Process:

1. A clear zone formed from the mitigation of bullish/bearish pro-trend order-flow originating from a strong break of structure or a sweeping IFC. This zone should have a form of Phase 1 inducement above and below it to be valid.
2. We should see respect from this zone. If Phase 2 was before the orderblock (Second Miss/Two Phase 1's) you can enter with a limit or wait for a direct mitigation on the lower timeframes. Otherwise, we must wait for the second inducement to build after we tap in. The tap should break structure in the pro-trend direction; this will either be a ChoCh or a Failed Reaction within internal structure.
3. The new zone formed can be played when mitigated after sweeping Phase 2. If the original zone was 15m+, a possible 15s entry can be played from the 1-minute mitigation. If the LPOD/S hasn't been taken, a second entry is possible from the corrective leg.
4. Due to our expectational order-flow, we can target the weak high/low; ensure the leg has been properly mitigated. As soon as you have the two inducement phases, you can play continuous sweeping mitigations within the 50% of the leg until reaching the next Phase 1 inducement pullback or weak high/low.

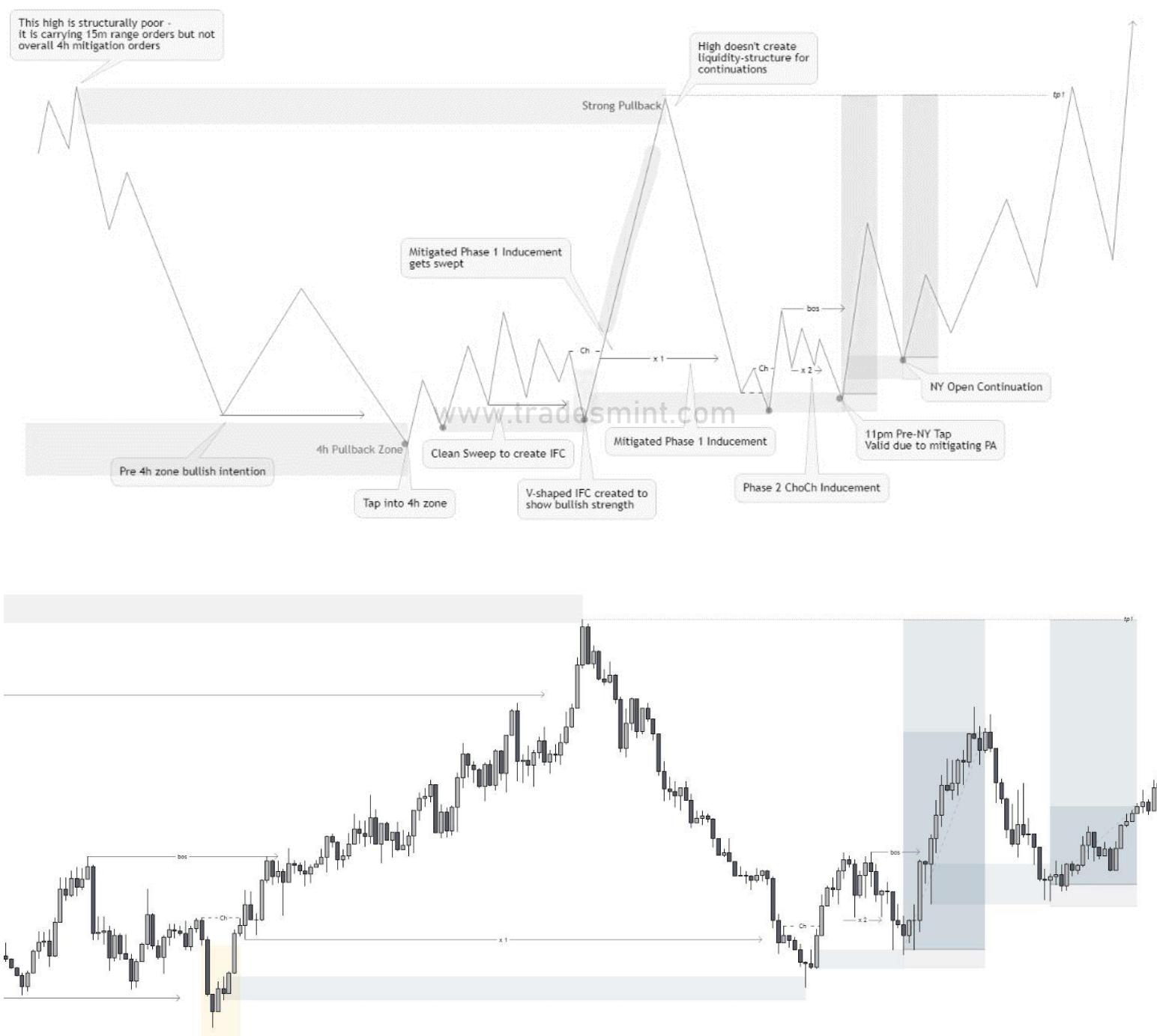
Counter-Trend Order Flow

Scenario: Price reacts strongly from a HTF valid orderblock after sweeping 15m+ liquidity, but the opposite force (supply/demand) is still in control. Price must create intention, respect counter-trend price and manipulate (2-phase inducement) before trading as momentum is not on our side.

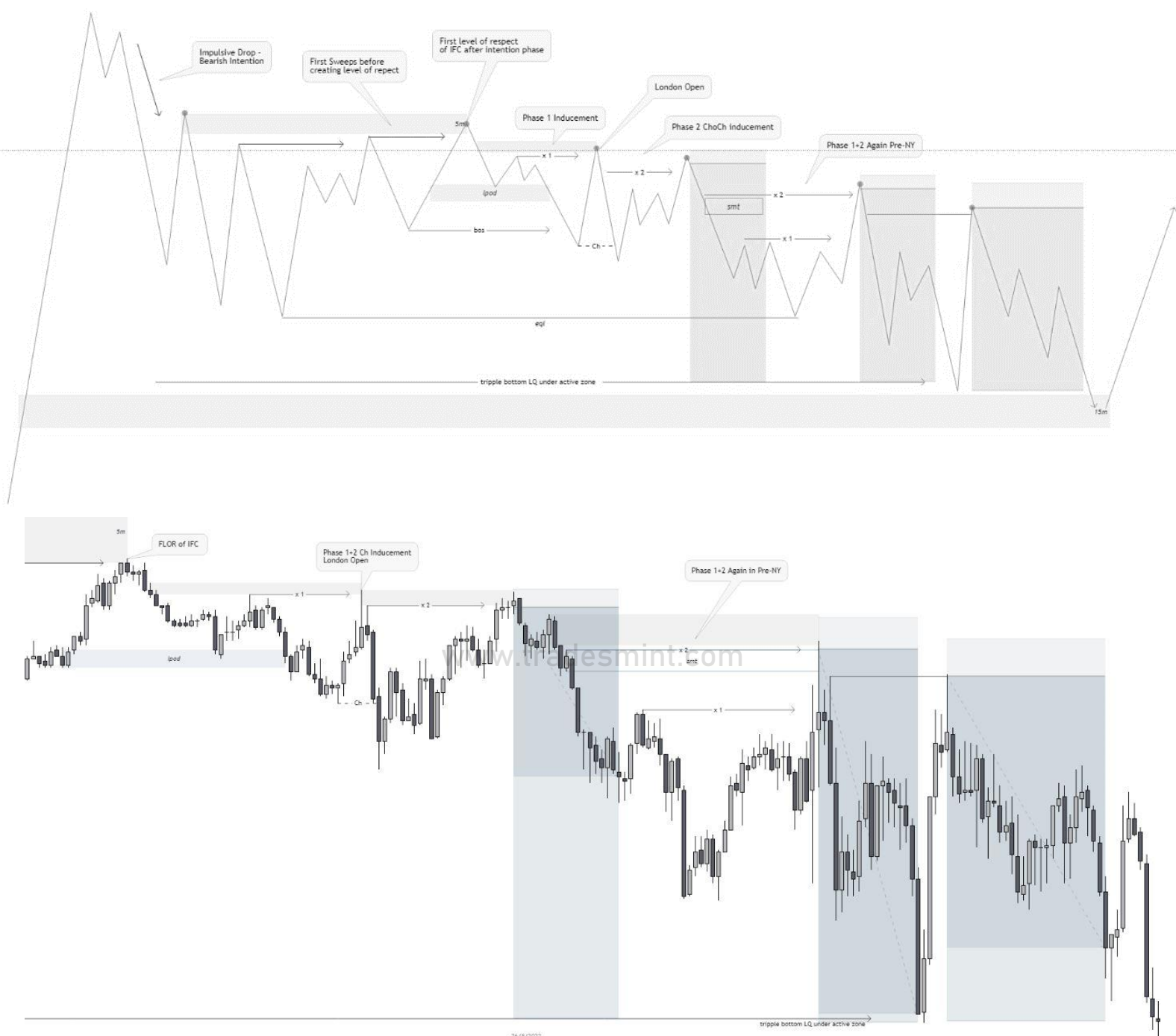
Post Trade Stop-loss: Stop-loss placed after 1m BoS after entering

Time Stamps: 4h – 1h – 15m – 5m – 1m – 1m – 15s fail

15/5m Bullish CT Clean Setup:



15/5m Bearish CT Clean Setup:



Counter-trend Entry Process:

1. A spike of bullish/bearish intention such as a high-momentum IFC pullback, or counter respect that breaks internal structure from a higher time-frame zone. We need to then wait for price to respect (mitigate) this and create a Failed Reaction (FR) zone. We cannot trade this setup without counter respect first.
2. From the FR zone that formed, we should see Phase 1 inducement form above/under it. When we tap into the FR zone after sweeping, we will have a possible second's Phase 2 entry unless it was created before entering the zone.
3. Ensure the LPOD/S is broken, and keep your targets safe. Don't try and target the end of a leg as that will go against the order-flow unless one is confirmed weak shown with the bullish setup. Stacking trades is dangerous if PA isn't clear, and moving your SL to breakeven after a 1m or <1m BoS or creating partial take profits is crucial.

Conclusion:

It is important you backtest all these concepts yourself, as learning the content is one thing, but understanding and applying it will bring true trading success.

We have complied some links to further benefit your trading:

ACCESS 50+ REAL TRADE MARKUPS (DISCORD):

➡ <https://launchpass.com/vector-premium-group/pasttrades>

Scale into EOD Markups + Intra-day Precision Trades that are valid in-line with the 2-Phase Strategy

(We recommend this as it can give a deeper understanding of applying the theory to the actual charts)

INCLUDES:

- Full Strategy within each Trade Markup + Annotations
- You will receive a 50% discount for the upcoming course if purchased – Contact us for this
- Hidden gems explained with each movement to get a full understanding of why and what creates the 10:1+ trades

MY FOREX FUNDS:

➡ https://myforexfunds.com/?wpam_id=96713

Once you have learnt the content, applied it into your strategy and successfully backtested or have maintained profit on a demo account, we recommend trying to get funded with MyForexFunds.

VECTOR SOCIAL LINKS:

INSTAGRAM: @vectortradingfx

TIKTOK: @vectortrading

LINKTREE: <https://linktr.ee/vectortrading>

COURSE: We have a course in progress. To see if we have completed it, please use the Instagram link above to contact us.

This eBook cannot be shared to others from the person who purchased it. All Rights Reserved ©2022

VECTORFX